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WILLIAMSON TEA KENYA LIMITED

**REPORTS AND
FINANCIAL STATEMENTS**

31 MARCH 2013

WILLIAMSON TEA KENYA LIMITED

REPORTS AND FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2013

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WILLIAMSON TEA KENYA LIMITED

NOTICE OF MEETING

NOTICE IS HEREBY GIVEN that the Sixty third ANNUAL GENERAL MEETING of the Shareholders will be held at the Nairobi Club, Ngong Road, on Thursday 27 June 2013 at 10.00 a.m for the following purpose:

- 1) To receive and adopt the report of the directors together with the audited financial statements for the year ended 31 March 2013.
- 2) To declare dividend.
- 3) To elect directors:
 - i) In accordance with Article 108 of the company's Articles of Association, Mr. Philip Magor, retires by rotation and offers himself for re-election.
 - ii) In accordance with Article 108 of the company's Articles of Association, Mr. Ezekiel Wanjama, retires by rotation and offers himself for re-election.
 - iii) In accordance with Article 114 of the company's Articles of Association, Mr. Matthew Koech, a director appointed to fill a casual vacancy retires at the meeting, and being eligible, offers himself for re-election.
 - iv) In accordance with Article 114 of the company's Articles of Association, Mr. J P Brooks, a director appointed to fill a casual vacancy retires at the meeting, and being eligible, offers himself for re-election.
- 4) To approve the remuneration of the Directors.
- 5) To authorise the directors to reappoint /appoint Auditors and agree their remuneration.
- 6) Any other such business of which notice has duly been served.

BY ORDER OF THE BOARD



GILBERT K MASAKI

SECRETARY

Thursday May 30, 2013

A Member entitled to attend and vote at the Annual General Meeting is entitled to appoint another person as his/her proxy to attend and vote instead of him/her, and such proxy need not also be a member of the company.

A form of proxy is provided with this report which shareholders who do not propose to be at the Meeting are requested to complete and return to the registered office of the company so as to arrive not later than Twenty Four hours before the meeting.

WILLIAMSON TEA KENYA LIMITED

CORPORATE INFORMATION

DIRECTORS	E N K Wanjama	- Chairman
	A L Carmichael*	- Managing Director
	S N Thumbi	- Farm Director
	P Magor*	
	J P Brooks	- Appointed 22 nd November, 2012
	A S Marsh *	
	N G Sandys-Lumsdaine	- Resigned on 16 th October, 2012
	D B White	- Resigned on 30 th September, 2012

M Koech

* British

BOARD COMMITTEES

Governance & Audit Committee	M Koech – Chairman
	J P Brooks
Nominating Committee	E N K Wanjama - Chairman
	A L Carmichael - Managing Director
	P Magor* - Non Executive Director
Remuneration Committee	E N K Wanjama - Chairman
	A L Carmichael* - Managing Director
	P Magor * - Non Executive Director

* British

SECRETARY

G K Masaki
Certified Public Secretary (Kenya)
P O Box 42281 - 00100
Nairobi

REGISTERED OFFICE

The Acacia Block, 2nd Floor,
Karen Office Park, Langata Road
P O Box 42281 - 00100
Nairobi

AUDITORS

Deloitte & Touche
Certified Public Accountants (Kenya)
Deloitte Place, Waiyaki Way, Muthangari
P O Box 40092 - 00100
Nairobi

BANKERS

Barclays Bank of Kenya Limited
Barclays Plaza Business Centre
P O Box 46661 - 00100
Nairobi

Standard Chartered Bank Kenya Limited
Kenyatta Avenue Branch
P O Box 40310 - 00100
Nairobi

LAWYERS

Kaplan & Stratton
Williamson House, 9th Floor,
4th Ngong Avenue
P O Box 40111 - 00100
Nairobi

Walker Kontos
Hakika House
Bishops Road
P O Box 60680 - 00200
Nairobi

WILLIAMSON TEA KENYA LIMITED

FINANCIAL HIGHLIGHTS

		2013	2012	2011	2010	2009
Tea Production						
Area under tea	Hectare	2,151	2,142	2,223	2,181	2,144
Made tea - own	'000 Kgs	7,426	6,981	7,514	7,501	6,420
- bought leaf	'000 Kgs	9,059	7,966	8,159	7,140	3,646
Total	'000 Kgs	16,485	14,947	15,673	14,641	10,066
Tea sold	'000 Kgs	14,931	15,298	16,472	13,954	9,382
Average price per Kg gross Sh/Ct		230/19	214/87	194/51	190/33	148/34
Turnover (Sh'000)		3,490,681	3,607,409	3,284,909	2,723,187	1,489,982
Profit (Sh'000)						
Profit before taxation		1,155,760	1,163,499	1,293,690	1,223,281	145,341
Taxation charge		(300,101)	(308,759)	(409,305)	(347,226)	(35,471)
Profit after taxation		855,659	854,740	884,385	876,055	109,870
Attributable to:						
Non - controlling interests		29,371	33,918	31,039	31,758	(631)
Equity holders of the parent		826,288	820,822	853,346	844,297	110,501
Retained profit for the year		855,659	854,740	884,385	876,055	109,870
Capital employed (Sh'000)						
Assets (Sh'000)						
Property, plant & equipment		1,720,640	1,480,897	923,547	950,501	1,004,372
Investments and long term receivables		954,845	874,238	810,923	820,627	771,451
Current assets		2,684,364	2,447,223	2,326,779	1,929,587	915,042
Biological assets		2,663,985	2,440,869	1,971,494	1,627,991	1,230,300
Total assets		8,023,834	7,243,227	6,032,743	5,328,706	3,921,165
Medium and short term borrowings		6,033	91,082	83,048	124,811	208,572
Service gratuity		181,428	159,859	145,125	123,098	106,868
Other current liabilities		732,586	932,086	633,477	872,780	389,147
Deferred income taxes		1,245,530	1,115,144	899,865	737,536	587,127
Total liabilities		2,165,577	2,298,171	1,761,515	1,858,225	1,291,714
Net assets		5,858,257	4,945,056	4,271,228	3,470,481	2,629,451
Financed by (Sh'000)						
Share capital		43,782	43,782	43,782	43,782	43,782
Reserves		5,622,334	4,735,718	4,093,198	3,316,470	2,507,198
Equity holders of parent company		5,666,116	4,779,500	4,136,980	3,360,252	2,550,980
Non - controlling interest		192,141	165,556	134,248	110,229	78,471
		5,858,257	4,945,056	4,271,228	3,470,481	2,629,451
Earnings per share	Sh	94.36	93.74	97.46	96.42	12.62
Dividend per share	%	150	1,150	300	125	80
Dividend per share	Sh	7.50	57.50	15.00	6.25	4.00
Dividend cover	Times	12.58	1.63	6.50	15.43	3.15
Closing exchange rates	US \$	85.64	83.06	83.25	77.30	80.45
	UK £	129.61	132.75	134.03	116.58	115.12

WILLIAMSON TEA KENYA LIMITED

CHAIRMAN'S STATEMENT

After serving for 10 years on your board, it gives me great pleasure to present to you my first Chairman's statement. In addition, this is an appropriate moment to thank Nigel Sandys Lumsdaine, your retiring Chairman for the 12 years of excellent service delivered to you. We wish him well for his well earned retirement.

Results

I am pleased to report that the group recorded a profit of Sh 694 million resulting from its operating activities. We refer to pages 16 and 17 of the financial statements which details the profit available for distribution through operational activities and the profit as a result of change to biological assets. The change in biological asset valuation occurs on an annual basis as a result of International Accounting Standards regulations. The result of the annual revaluation change may be misleading to shareholders as it is included in the profit before tax figures but is not realizable for distribution and only represents an estimated book figure for accounting compliance.

Our Farms

The year under review saw reasonable weather conditions. Rainfall was throughout the year, sometimes erratically distributed, but we experienced two significant hail storms at Changoi in April 2012 and at Tinderet in August 2012. Both these storms considerably reduced our own crop. The storms were a clear example of the unpreventable risks associated with rain fed agricultural commodities. We may sleep peacefully one night only to awake the next day facing tea bushes devastated by hail stones. We are farmers and when our crops decline, our costs go up.

However the continuous rainfall ensured that crops remained high in the last quarter of the financial year. This has some negative implications from a market perspective which will be described later in this statement.

As a result of this strong end to the year, the Group recorded a crop of 16.49 million kilos of made tea.

Our relationships with green leaf smallholders and their contribution as partners in achieving our annual crop is once again warmly recognized here. As a Group we clearly recognize their contributions. However, Shareholders should be aware that this contribution comes with a cost, a cautionary note that we sounded last year. The market for purchasing green leaf and engaging into contracts with smallholders is a free, dynamic and competitive one, with smallholders registered and regulated by the Tea Board of Kenya. Your board has always to balance the volumes of purchased leaf required with the prices that prevail for this leaf. Without this purchased leaf our costs of production rise. However the market rates for the green leaf, in the year under review were very high. This means to capture the correct amount of green leaf to satisfy our customers and assist in controlling factory costs by increasing throughputs, the Group has had to subsidize our smallholders and thus reduce our operating profit. We are very mindful this is a market driven decision. We are actively engaged with our smallholders in establishing methods of payment that are equitable to both our smallholders and to ourselves as the manufacturing and marketing operator.

As a Group, we take both our commercial activities and Corporate Social Responsibilities very seriously. For the past 5 years we have been actively engaged in securing our own source of firewood from gum plantations to enable us to operate our factories with the desired high volumes of green leaf. The cycle of these gum plantations from planting to harvesting is approximately 10-12 years. By the end of 2018, we hope to have secured sufficient areas on our own land to manage our factories responsibly with our own source of gum trees. When we buy firewood, which is a costly operation, we only buy from mature sustainable gum plantations. Regrettably this is not always the case with our competitors. More factories in Kenya are opening and being granted manufacturing licenses. These factories do not have a secured supply of sustainable firewood and we often see immature and unseasoned wood from indigenous or unsustainable sources being sold, even on the roadsides. This practice was highlighted by a quick witted journalist in a recent newspaper article and our trade body the KTGA has taken up the matter with the appropriate authorities. The lack of sustainable firewood to power our boilers and the lack of cost effective alternatives as we write places a heavy restriction on the future growth of the Kenya Tea Industry.

Our young tea plant subsidies continue at Tinderet for one more year and we have again expanded our capacity in the Farm nurseries so to service the smallholder farmers and assist them to plant tea and benefit from the favourable conditions currently being experienced.

Considerable work continues to go into managing our automated tea harvesting. Our workforce is now trained to operate sophisticated machinery, and we have improved the quality of leaf harvested over the gains made last year to the continuing benefit of the group and our customers. We would wish to emphasize that our workforce, our staff and our management, our human capital, remains our most prized asset. However we have a clear commitment to progress, to generate and motivate a highly skilled workforce and industrialize in line with Kenya Vision 2030 to secure long term sustainability for the group.

We continue to add value by planting new tea varieties. These varieties add diversification to our products and will, over time add to our production strength as they replace older, lower yielding teas. In addition our ability to successfully meet customer demands in our factories is a source of great sales strength, about which a little more later.

WILLIAMSON TEA KENYA LIMITED

CHAIRMAN'S STATEMENT (Continued)

Markets

Good global demand for much of the year was replaced by a much weaker position from February 2013. Very high crops, by comparison with the same time the year before, the decision by some producers to withhold selling prior to the last Kenya general election, resulted in very large stocks being available to buyers. The Mombasa auction average price at end March 2012 was 15% higher for Kenya teas than end March 2013. We have been able to mitigate against some of these losses by our ability to negotiate longer term contracts with our long established customers and our abilities to provide reliable teas shipped to destinations at the correct time. However markets remain unpredictable and buyers from all parts of the globe operate off tight stock levels and will be in no rush to increase their buying whilst stock levels and crops remain high.

Our customer base remains strong and the Group policy of selling to secure markets with few credit risks ensures that not only does your Company receive payment for their teas but also the thousands of smallholders who now rely upon us. Our investment in Rainforest Alliance and UTZ accreditation has been supported by all our smallholders being accredited, and it remains true that a healthy percentage of our sales are as a direct result of investing in and adhering to good practice and the accreditation that follows this.

What of Fairtrade? We reluctantly but voluntarily withdrew our support from Fairtrade accreditation during the year. As one of the pioneers in establishing Fairtrade teas in 2006 we had hoped that our concerns over the morals and ethics of the Fairtrade Foundation would be treated with due respect, particularly when the integrity of our commercial operations had been threatened. We attempted to resolve the matters at hand but were left unconvinced that our concerns were taken seriously. In order to preserve our own ethics and integrity we voluntarily withdrew our support from the Fairtrade Foundation. In place of the social premiums generated from our Fairtrade sales we have allocated funds under the Williamson Tea Foundation with a brief to support our workers and surrounding communities particularly in the areas of health and education.

We are continuing to invest in plant and machinery, in our factories as well as the fields as outlined above. One factory will shortly complete the expansion of their withering facilities. We are always seeking ways in which we can improve. However although we have committed to investing in a Solar power project at Changoi, to reduce our long term exposure to ever increasing electricity costs, our abilities to invest in capital items is limited by market forces, specifically over the price of tea, exchange rates, taxes levied and the price that we pay for our green leaf. We need to add to our capacities to better manage and handle the green leaf we purchase. However, with costs increasing across many areas, our ability to adequately invest, when paying very high prices for green leaf, are restricted.

Finding a way to satisfy you, the shareholder, our smallholders and having sufficient funds to expand capacities is a clear goal, but one that carries many challenges. However, if we succeed in this aim the beneficiaries will be our smallholders and our customers as well as your Company, and ultimately the shareholder.

Market Outlook

We were all delighted to witness the mature politics and good sense during the general election. This will hopefully be the platform from which increasing success not just for Kenya companies, but Kenya, can be launched. We are confident the 2010 Constitution will be adhered to and the newly devolved powers to the counties will be properly and professionally managed by the Governors, and the new teams in place. As I write it is still too early to advise precisely what will happen, by next year we shall have had plenty of time to make an assessment.

Our ability to make good tea, deliver the tea on time anywhere in the world, supported by the foundations of transparency, through our commitment to International accreditation agencies, ethical policies, good governance and accountability will enable us to overcome potential future hurdles through our long term relationships with a range of customers. We envisage markets will fall through the first six months of our year, but if crop levels and existing stock levels decline as they traditionally should, the market may strengthen towards the end of the calendar year. There is no indication that demand is weak rather that supply has strengthened considerably. However we do not expect prices to return to the levels of 2012 for the whole of this year.

Further industrial action from Union leaders can never be ruled out, however we trust our commitment to dialogue, fairness and good practice will assist in overcoming difficult issues and that during the year a new CBA will be fairly negotiated. Our existing agreement raises wages by 12% from January 2013.

WILLIAMSON TEA KENYA LIMITED

CHAIRMAN'S STATEMENT (Continued)

General Outlook

The cost of our essential inputs, particularly electricity, fertilizers and our own workforce, continues to rise. We are, as I have advised, investing large amounts of capital in our solar project. To remain competitive we need to work hard to control our costs whilst maintaining the quality of tea and service efficiency that provide the results we all wish to see.

The cost of conducting business in Kenya continues to rise. In addition to the costs outlined last year we wait to see the impact of the new County governments and the new Agricultural and Fisheries Board. As I wrote earlier, we trust and are confident that prudence and good governance and sense will prevail. We continue to lobby through the good offices of the East African Tea Trade Association against the Ad Valorem tax on the value of tea sold levied by the Tea Board of Kenya, in February 2012.

Although the arrival of the new Constitution was welcomed in August 2010, it is nearly 3 years old now and we still await confirmation on the outcome of our Freehold titles and 999 year leases. The legal advice remains that with effect from 28th August 2010 all our land titles were converted into 99 year leases without compensation. However we await government confirmation on the commencement dates for these new leases and guidelines on their renewal.

Dividends

In view of the favourable results, the Directors are recommending a final dividend payment of KShs 7.50 per share.

Crop / Market Price

During the year, the Group manufactured a total of 16.49 million kilos of Made Tea compared to 14.95 million kilos manufactured last year with continued strong support from our small tea growers.

The gross average tea price increased to sh 230.19 per kilo from last year's gross average of sh 214.84. Exchange rates were erratic.

Corporate Social Responsibility

The Group continues to embrace social enhancing ethics, food safety standards and sustainable agricultural practices. The Group is still certified by ISO 2200:2005, Rainforest Alliance and UTZ.

Following our voluntary withdrawal from Fairtrade new funds from the social premium have ended. However funds have been placed mainly on interest bearing accounts and will continue to yield returns for many years to come. It was disappointing that Fairtrade immediately removed themselves from any liability over the remaining funds. The Group gave bursaries to the bright and needy students, donated desks and chairs to local schools, subsidized the sale of tea seedlings to small holders, donated indigenous tree seedlings, repaired rural community roads, as well as offered many soft loans to assist our neighbouring communities to commence or expand in business areas and become partners of the Group.

Health and Education

The Group continues to provide extensive medical services to the employees with 5 Health Clinics and actively participates in the Nandi Hills Doctors' scheme including visiting Doctor Services and HIV/AIDS prevention programmes. Contribution has also been given in the form of equipment to neighbouring Hospitals which treat some of our workers and the surrounding communities.

Through the Kenya Tea Growers Association, the Group continues to support the running and development of various sponsored Primary and Secondary Schools in Kericho and Nandi. Several CSR activities have also been undertaken and these are detailed on our website, <http://williamson-tea.blogspot.co.uk/>. We continue to operate several crèches, 4 Primary Schools and 1 Secondary School together with bursary schemes for gifted students proceeding to Secondary education.

As mentioned earlier funds directed through the Williamson Tea Foundation will be used to contribute even more to our workers and our neighbouring communities.

WILLIAMSON TEA KENYA LIMITED

CHAIRMAN'S STATEMENT (Continued)

Welfare

The number of permanent and seasonal employees exceeded 3,030 with over 15,150 of their dependents who also benefit from the social and welfare amenities provided.

During the year, the Group spent over sh 90 million on employees' pension, gratuities, leave and medical expenses over and above employees' direct wages. In addition, the Group incurred in excess of sh 6 million on capital projects relating to employees welfare.

Appreciation

At the beginning of my statement I paid tribute to Nigel Sandys Lumsdaine. We have also said goodbye to one other director, Mr David White. David was a stalwart Financial Director for Williamson Tea Kenya and served the board for many years in an executive and non executive capacity. He was also chairman of The Governance and Audit Committee. We wish David a long and richly deserved retirement. His place on the Board has been taken by Mr Mathew Koech, who amongst his many talents is a Chartered Accountant and also takes over as chairman of The Governance and Audit Committee. Welcome Mathew. With my own elevation to Chairman I am delighted to say that my place on the board has been taken by Mr Jimmy Brooks. Jimmy kindly agreed to join the board of Williamson Tea Kenya Limited and as you are aware Jimmy's advice and experience is already well known as he serves on the board of our sister company, Kapchorua Tea Company Ltd.

Finally, I would like to thank all our management staff, in particular Samuel Thumbi our Visiting Agent and the leadership of Ishmael Sang, Sospeter Angira and Charles Agui at Changoi, Kaimosi and Tinderet respectively. My thanks also go to our Nairobi Head Office staff together with the team at Williamson Power.

Last but not least, I would like to thank my fellow Directors for their valuable contribution and advice.

E N K WANJAMA

CHAIRMAN

30th May, 2013

WILLIAMSON TEA KENYA LIMITED

STATEMENT OF CORPORATE GOVERNANCE

Corporate Governance is the process and structure used to direct and manage the business affairs of the Group towards enhancing prosperity and corporate accounting with the ultimate objective of realizing shareholders long-term value while taking into account the interest of other stakeholders.

The Group is compliant in all areas of the corporate governance guidelines save for fact of the audit committee being composed of only two independent directors. The Chairman is a non-executive independent director. The desirability of increasing the composition of audit committee members is currently under consideration.

BOARD OF DIRECTORS

The Board consists of seven directors, five of whom are non-executive directors including the Chairman. Among the non-executive directors are three independent Directors. All the non-executive Directors are subject to retirement by rotation and must seek re-election by shareholders at least once every three years in accordance with the Articles of Association.

The composition of the Board is set with the aim of having a Board with an appropriate balance of skills and experience to support the Group's strategy and to lead the Group effectively.

There's a clear division of responsibility between the Chairman and the Managing Director. The Chairman is responsible for the leadership of the Board ensuring its effectiveness; and he sees that they are given appropriate and timely information to enable them to properly discharge their responsibilities. He also ensures effective communication with shareholders and facilitates relations between the different Board Members. The Managing Director is responsible for the day-to-day management of the Group and the execution of the strategy agreed by the Board.

The Board is responsible for formulating policies and strategies and ensuring that the business objectives aimed at promoting and protecting the shareholders value while taking into account the interest of other stakeholders, are achieved. The Board ensures that procedures and practices are set in place to ensure effective control over strategic, financial, operational and compliance issues. The Board meets to review annual budget and half-year and annual accounts and to monitor operational performance. The Directors are given appropriate and timely information to enable them maintain full and effective control. Except for direction and guidance on general policy, the Board has delegated authority for conduct of the day-to-day business to the Managing Director assisted by a team of able managerial staff.

The full Board meets at least once every quarter for scheduled meetings and on other occasions as required for consideration of exceptional matters. A timetable of calendar dates for Board meetings to be held during the year is circulated in advance to the Board. The notice of Board meetings is distributed together with the agenda and Board papers to all Directors before hand.

The Company Secretary is always available to the Board of Directors and is a member of both the Institute of Certified Public Accountants of Kenya (ICPAK) and Institute of Certified Public Secretaries of Kenya (ICPSK). The Head of Finance is also a member of the Institute of Certified Public Accountants (ICPAK).

BOARD REMUNERATION

Non-executive Directors are paid an annual fee together with a sitting allowance for every meeting attended. The aggregate amount of emoluments paid to Directors for services rendered during the financial year are disclosed in note 5 to the financial statements.

DIRECTORS' SHAREHOLDING

None of the Directors as at the end of the year March 2013 held shares in the Group in their individual capacity.

WILLIAMSON TEA KENYA LIMITED

STATEMENT OF CORPORATE GOVERNANCE (Continued)

COMMITTEES OF THE BOARD

The Board has three standing committees, which meet under the terms of reference set by the Board.

Governance and Audit committee

The Governance and Audit Committee was constituted by the Board in 1998 and comprises two non-executive Directors and professionals. The committee meets at least four times in the year. The responsibilities of the committee include:

- All areas of corporate governance, with specific reference to issues of risk management;
- Review of interim and annual financial statements to ensure compliance with disclosure requirements;
- Maintenance and review of Group's system of accounting and internal controls;
- Liaising with external auditors of the group.

Every year, the committee visits each of the Group's farms for a full day. In addition, the committee meets with the external auditors once every year and other times when deemed necessary.

Nominating committee

The Board of the Group has a nominating committee consisting of three Directors. This committee is responsible for proposing new nominees for the Board and for assessing the performance and effectiveness of all the Directors.

Staff and remuneration committee

There's a staff and remuneration committee consisting of three Directors. The committee is responsible for the remuneration and incentives for the Board and the senior management and for the structure of remuneration packages and submits its recommendations to the Board.

INTERNAL CONTROLS

The Board is responsible for the Group's system of internal controls and for reviewing their effectiveness. The Group has defined procedures and financial controls to ensure the reporting of complete and accurate accounting information.

The systems in place are designed to ensure that authority is obtained for any major transaction and that the Group complies with all Kenyan laws and regulations, including those that govern sound financial management. Procedures are in place to ensure that all assets are subject to proper physical controls and these are professionally re-valued every three years.

The Group's internal auditor reviews policy, systems and procedures on a regular basis and reports to the Managing Director and the Audit Committee.

Communication with shareholders

The Group is committed to ensuring that there's open and good communication with investors through the Annual General Meeting, distribution of the Group's annual report and the release of notices of its half yearly and annual results in the press and the Company website: www.williamsontea.com.

WILLIAMSON TEA KENYA LIMITED

STATEMENT OF CORPORATE GOVERNANCE (Continued)

SHAREHOLDING PROFILES

The company through its registrar, files returns regularly in line with the Capital Markets Authority and the Nairobi Securities Exchange under the listing regulations on transactions related to shareholders.

Principal shareholders

As at 31 March 2013 the top 10 major shareholders were as follows;

	Name	Location	No of shares	%
1.	Ngong Tea Holdings Limited	London	4,506,164	51.46
2.	Upstream Investments Limited	Nairobi	324,673	3.71
3.	Kirtesh P. Shah	Nairobi	260,821	2.98
4.	Standard Chartered Nominees Ltd A/C 9280	Nairobi	172,700	1.97
5.	AAKS Nominees Ltd A/C 2012	Nairobi	166,800	1.90
6.	Garot International Ltd	Nairobi	156,900	1.79
7.	Satchu Aly-Khan	Nairobi	121,200	1.38
8.	Standard Chartered Nominees Ltd A/C 9230	Nairobi	115,792	1.32
9.	Champakal Ramji Shah	Mombasa	101,200	1.16
10.	Phoenix of E.A. Assurance Co Ltd	Nairobi	84,856	0.97

Analysis of Shareholders

By region:

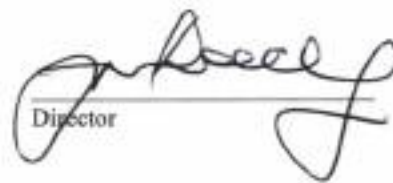
Region	Number	Shares held	%
Foreign shareholders	72	4,903,115	56.12
Local & East Africa shareholders (Individuals)	1,170	2,379,363	25.83
Local & East Africa shareholders (Institutional)	103	1,473,842	18.05
	<u>1,345</u>	<u>8,756,320</u>	<u>100.00</u>

By shares distribution:

Less than 501	663	162,143	1.70
501-10,000	617	1,239,442	14.70
10,001- 100,000	56	1,426,585	17.70
100,001-1,000,000	8	1,421,986	14.44
Above 1,000,000	1	4,506,164	51.46
	<u>1,345</u>	<u>8,756,320</u>	<u>100.00</u>



Director



Director

WILLIAMSON TEA KENYA LIMITED

REPORT OF THE DIRECTORS

The directors present their report together with the audited financial statements of Williamson Tea Kenya Limited and its subsidiaries (the Group) for the year ended 31 March 2013.

ACTIVITIES

The principal activities of the Group are the cultivation, manufacture and sale of tea, investment in property and the sale and servicing of generators.

GROUP RESULTS FOR THE YEAR

	Sh'000
Profit before taxation	1,155,760
Taxation charge	(300,101)
Profit after taxation	855,659
Attributable to:	
Owners of the company	826,288
Non-controlling interests	29,371
Profit for the year	855,659

DIVIDENDS

The Group did not pay an interim dividend in 2013 (2012 – Sh 437,816,000 which amounted to Sh 50.00 per share). The Directors recommend that a final dividend of Sh 7.50 per share (2012 – Sh 7.50) per share equivalent to a total sum of Sh 65,672,400 (2012 – 65,672,400) be paid to the shareholders. The final dividend is subject to approval by the shareholders at the next Annual General Meeting.

DIRECTORS

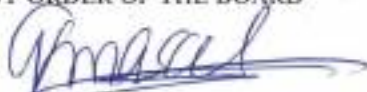
The current board of directors is shown on page 3.

Mr D B White resigned from office in September 2012 while Mr N.G. Sandys-Lumsdaine retired on 16th October 2012 as a director and chairman of the Board and Mr E N K Wanjama was appointed chairman of the Board with effect from the same date. Mr J P Brooks was appointed as a director on 16th October 2012, while Mr M Koech was appointed a director with effect from 22 November 2012.

AUDITORS

Deloitte & Touche, having expressed their willingness, continue in office in accordance with the provisions of section 159 (2) of the Kenyan Companies Act.

BY ORDER OF THE BOARD


Secretary

30th May 2013

WILLIAMSON TEA KENYA LIMITED

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Kenyan Companies Act requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the Group and of the company as at the end of the financial year and of the operating results of the Group for that year. It also requires the directors to ensure that the company and its subsidiaries keep proper accounting records which disclose with reasonable accuracy at any time the financial position of the Group and the company. They are also responsible for safeguarding the assets of the Group.

The directors are responsible for the preparation of financial statements which give a true and fair view in accordance with International Financial Reporting Standards and the provisions of the Kenyan Companies Act, and for such internal controls as the directors determine are necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgments and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the Group and of the company and of the Group's operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the company and its subsidiaries will not remain a going concern for at least the next twelve months from the date of this statement.


Director
Director

30th may 2013

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF WILLIAMSON TEA KENYA LIMITED

Report on the Financial Statements

We have audited the accompanying financial statements of Williamson Tea Kenya Limited and its subsidiaries, set out on pages 16 to 64 which comprise the consolidated and company statements of financial position as at 31 March 2013, and the consolidated statement of comprehensive income, consolidated and company statements of changes in equity and consolidated statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory notes.

Directors' Responsibility for the Financial Statements

The directors are responsible for the preparation of financial statements which give a true and fair view in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, and for such internal controls as the directors determine are necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an independent opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we considered the internal controls relevant to the entity's preparation of financial statements that give a true and fair view in order to design audit procedures that were appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal controls. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the accompanying financial statements give a true and fair view of the state of financial affairs of the company and its subsidiaries as at 31 March 2013 and of the Group's profit and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act.

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF
WILLIAMSON TEA KENYA LIMITED (Continued)

Report on Other Legal Requirements

As required by the Kenyan Companies Act we report to you, based on our audit, that:

- (i) we have obtained all the information and explanations which, to the best of our knowledge and belief, were necessary for the purposes of our audit;
- (ii) in our opinion, proper books of account have been kept by the company, so far as appears from our examination of those books; and
- (iii) the company's statement of financial position is in agreement with the books of account.



Certified Public Accountants (Kenya)

30 May 2013
Nairobi

WILLIAMSON TEA KENYA LIMITED

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 MARCH 2013

	Note	2013 Sh' 000	2012 Sh' 000
REVENUE	4(e)	3,490,681	3,607,409
FAIR VALUE CHANGES			
-Tea bushes		184,404	221,501
-Timber trees		1,696	58,774
		<u>3,676,781</u>	<u>3,887,684</u>
COST OF SALES		(2,471,104)	(2,734,835)
GROSS PROFIT		<u>1,205,677</u>	<u>1,152,849</u>
Other income	5	274,679	280,368
Fair value changes - Firewood		16,457	160,669
Distribution costs		(309,126)	(280,753)
Administrative expenses		(121,838)	(142,689)
Finance costs	6	(2,690)	(4,072)
Net foreign exchange differences		(8,575)	(47,408)
Share of results of associate company	17	101,176	44,535
PROFIT BEFORE TAXATION	7	<u>1,155,760</u>	<u>1,163,499</u>
TAXATION CHARGE	9	(300,101)	(308,759)
PROFIT FOR THE YEAR	10	<u>855,659</u>	<u>854,740</u>
COMPRISING:			
Profit arising from operating activities		694,435	537,723
Profit arising from changes in fair value of biological assets (net of attributable taxation)		131,853	283,099
		<u>826,288</u>	<u>820,822</u>
Non - controlling interests			
- From operating activities	26	19,434	8,356
- From changes in fair value of biological assets	26	9,937	25,562
		<u>29,371</u>	<u>33,918</u>
PROFIT FOR THE YEAR		<u>855,659</u>	<u>854,740</u>

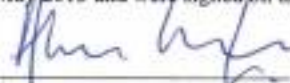
WILLIAMSON TEA KENYA LIMITED
CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 MARCH 2013 (Continued)

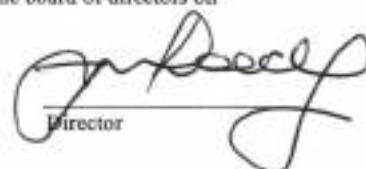
	Note	2013 Sh' 000	2012 Sh' 000
OTHER COMPREHENSIVE INCOME			
Surplus on revaluation of property and equipment		180,000	465,717
Deferred tax on revaluation surplus		(54,000)	(139,715)
Share of other comprehensive income of associate company		-	42,966
TOTAL OTHER COMPREHENSIVE INCOME		126,000	368,968
TOTAL COMPREHENSIVE INCOME FOR THE YEAR		981,659	1,223,708
PROFIT FOR THE YEAR ATTRIBUTABLE TO:			
Equity holders of the company		826,288	820,822
Non - controlling interests	26	29,371	33,918
		855,659	854,740
TOTAL COMPREHENSIVE INCOME ATTRIBUTABLE TO:			
Equity holders of the company		952,288	1,189,790
Non - controlling interests	26	29,371	33,918
		981,659	1,223,708
EARNINGS PER SHARE - Basic and diluted	11	94.36	93.74

WILLIAMSON TEA KENYA LIMITED
CONSOLIDATED STATEMENT OF FINANCIAL POSITION
AS AT 31 MARCH 2013

	Note	2013 Sh'000	2012 Sh'000
ASSETS			
Non current assets			
Property, plant and equipment	13	1,720,640	1,480,897
Intangible assets	14	3,746	2,045
Prepaid operating leases	15	76,794	76,878
Investment property	16	365,000	345,500
Investment in associate companies	17	507,956	448,466
Other investments	19	1,349	1,349
Biological assets	20	2,663,985	2,440,869
		<u>5,339,470</u>	<u>4,796,004</u>
Current assets			
Inventories	21	615,738	357,901
Trade and other receivables	22	873,471	1,215,558
Due from associate company	23(a)	90,343	85,005
Taxation recoverable	9(c)	6,469	34,242
Short term deposits	24	798,239	630,339
Cash and bank balances	33(d)	300,104	124,178
		<u>2,684,364</u>	<u>2,447,223</u>
Total assets		<u>8,023,834</u>	<u>7,243,227</u>
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	25	43,782	43,782
Revaluation surplus		635,847	586,797
Revenue reserve		4,986,487	4,148,921
		<u>5,666,116</u>	<u>4,779,500</u>
Equity attributable to equity holders of parent company			
Non – controlling interests	26	192,141	165,556
Total equity		<u>5,858,257</u>	<u>4,945,056</u>
Non current liabilities			
Deferred taxation	27	1,245,530	1,115,144
Service gratuity	28	181,428	159,859
Finance lease obligations	30	-	5,965
		<u>1,426,958</u>	<u>1,280,968</u>
Current liabilities			
Borrowings	29	-	59,715
Finance lease obligations	30	6,033	25,402
Trade and other payables	31	682,085	922,367
Due to associate company	23(d)	4,750	4,256
Unclaimed dividends	32	4,224	4,299
Taxation payable	9(c)	41,527	1,164
		<u>738,619</u>	<u>1,017,203</u>
		<u>8,023,834</u>	<u>7,243,227</u>

The financial statements on pages 16 to 64 were approved and authorised for issue by the board of directors on 30 May 2013 and were signed on its behalf by:


Director


Director

WILLIAMSON TEA KENYA LIMITED

COMPANY STATEMENT OF FINANCIAL POSITION
AS AT 31 MARCH 2013

	Note	2013 Sh'000	2012 Sh'000
ASSETS			
Non current assets			
Property, plant and equipment	13	941,592	671,798
Intangible assets	14	2,014	1,148
Prepaid operating leases	15	11,759	11,772
Investment property	16	365,000	345,500
Investment in associate company	17	49,479	49,479
Investment in subsidiary companies	18	109,877	109,877
Other investments	19	546	546
Biological assets	20	1,095,271	1,077,393
		<u>2,575,538</u>	<u>2,267,513</u>
Current assets			
Inventories	21	260,198	112,743
Trade and other receivables	22	342,716	468,983
Due from associate company	23(a)	84,836	81,010
Due from subsidiary companies	23(b)	237,863	210,126
Taxation recoverable	9(c)	3,692	1,411
Short term deposits	24	575,063	427,118
Cash and bank balances		93,414	76,468
		<u>1,597,782</u>	<u>1,377,859</u>
Total assets		<u><u>4,173,320</u></u>	<u><u>3,645,372</u></u>
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	25	43,782	43,782
Revaluation surplus		349,071	270,745
Revenue reserve		2,853,136	2,380,472
		<u>3,245,989</u>	<u>2,694,999</u>
Shareholders' funds			
		<u>3,245,989</u>	<u>2,694,999</u>
Non current liabilities			
Deferred taxation	27	635,313	544,529
Service gratuity	28	65,027	54,990
		<u>700,340</u>	<u>599,519</u>
Current liabilities			
Trade and other payables	31	198,318	315,327
Due to subsidiary companies	23(c)	24,449	31,228
Unclaimed dividends	32	4,224	4,299
		<u>226,991</u>	<u>350,854</u>
Total equity and liabilities		<u><u>4,173,320</u></u>	<u><u>3,645,372</u></u>

The financial statements on pages 16 to 64 were approved and authorised for issue by the board of directors on 30 May 2013 and were signed on its behalf by:


Director


Director

WILLIAMSON TEA KENYA LIMITED
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 MARCH 2013

	Note	Share capital Sh'000	Revaluation surplus Sh'000	Biological assets gains Sh'000	Other Sh'000	Revenue reserve	Equity attributable to equity holders of the parent Sh'000	Non-Controlling interests Sh'000	Total Sh'000
At 1 April 2011		43,782	239,867	948,532	2,904,799	3,853,331	4,136,980	134,248	4,271,228
Profit for the year		-	-	283,099	537,723	820,822	820,822	33,918	854,740
Other comprehensive income		-	368,968	-	-	-	368,968	-	368,968
Total comprehensive income for the year		-	368,968	283,099	537,723	820,822	1,189,790	33,918	1,223,708
Excess depreciation transfer		-	(31,483)	-	31,483	31,483	-	-	-
Deferred tax on excess depreciation		-	9,445	-	(9,445)	(9,445)	-	-	-
Final dividends declared - 2011	32	-	-	-	(109,454)	(109,454)	(109,454)	(2,610)	(112,064)
Interim dividends declared - 2012	32	-	-	-	(437,816)	(437,816)	(437,816)	-	(437,816)
At 31 March 2012		43,782	586,797	1,231,631	2,917,290	4,148,921	4,779,500	165,556	4,945,056
At 1 April 2012		43,782	586,797	1,231,631	2,917,290	4,148,921	4,779,500	165,556	4,945,056
Profit for the year		-	-	131,853	694,435	826,288	826,288	29,371	855,659
Other comprehensive income		-	126,000	-	-	-	126,000	-	126,000
Total comprehensive income for the year		-	126,000	131,853	694,435	826,288	952,288	29,371	981,659
Excess depreciation transfer		-	(109,929)	-	109,929	109,929	-	-	-
Deferred tax on excess depreciation		-	32,979	-	(32,979)	(32,979)	-	-	-
Final dividends declared - 2012	32	-	-	-	(65,672)	(65,672)	(65,672)	(2,786)	(68,458)
At 31 March 2013		43,782	635,847	1,363,484	3,623,003	4,986,487	5,666,116	192,141	5,858,257

Revaluation surplus is made up of the periodic adjustment arising from the revaluation of property and equipment. The reserve is not available for distribution to the shareholders.
The revenue reserve on biological assets represents surplus arising from fair valuation of biological assets in line with IAS 41 on Agriculture. The reserve is not available for distribution to the shareholders.
Other revenue reserves represents accumulated surplus arising from other normal operating activities. The reserves are available for distribution to the shareholders.

WILLIAMSON TEA KENYA LIMITED
COMPANY STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 MARCH 2013

	Note	Share capital Sh'000	Revaluation surplus Sh'000	Biological assets gains Sh'000	Revenue reserve	Total Sh'000
					Other Sh'000	
At 1 April 2011		43,782	116,797	492,571	1,844,115	2,497,265
Profit for the year		-	-	98,772	475,463	574,235
Other comprehensive income		-	170,769	-	-	170,769
Total comprehensive income for the year		-	170,769	98,772	475,463	745,004
Excess depreciation transfer		-	(24,030)	-	24,030	-
Deferred tax on excess depreciation		-	7,209	-	(7,209)	-
Final dividends declared - 2011	32	-	-	-	(109,454)	(109,454)
Interim dividends declared - 2012	32	-	-	-	(437,816)	(437,816)
At 31 March 2012		43,782	270,745	591,343	1,789,129	2,694,999
At 1 April 2012		43,782	270,745	591,343	1,789,129	2,694,999
Profit for the year		-	-	7,701	482,961	490,662
Other comprehensive income		-	126,000	-	-	126,000
Total comprehensive income for the year		-	126,000	7,701	482,961	616,662
Excess depreciation transfer		-	(68,106)	-	68,106	-
Deferred tax on excess depreciation		-	20,432	-	(20,432)	-
Final dividends declared - 2012	32	-	-	-	(65,672)	(65,672)
At 31 March 2013		43,782	349,071	599,044	2,254,092	3,245,989

Revaluation surplus is made up of the periodic adjustment arising from the revaluation of property and equipment. The reserve is not available for distribution to the shareholders.
The revenue reserve on biological assets represents surplus arising from fair valuation of biological assets in line with IAS 41 on Agriculture. The reserve is not available for distribution to the shareholders.
Other revenue reserves represents accumulated surplus arising from other normal operating activities. The reserves are available for distribution to the shareholders.

WILLIAMSON TEA KENYA LIMITED

CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 MARCH 2013

	Note	2013 Sh'000	2012 Sh'000
CASH FLOWS FROM OPERATING ACTIVITIES			
Cash generated from operations	33(a)	705,301	396,724
Interest received	5	77,461	103,119
Interest paid	6	(2,690)	(4,072)
Taxation paid	9(c)	(125,500)	(261,203)
Net cash generated from operating activities		654,572	234,568
CASH FLOWS FROM INVESTING ACTIVITIES			
Purchase of property, plant and equipment	13	(148,028)	(221,890)
Purchase of intangible assets	14	(3,030)	(1,781)
Proceeds from disposal of property, plant and equipment		5,169	12,700
Proceeds from disposal of investment property and associate company		-	452,665
Net expenditure on biological assets	20	(20,559)	(28,431)
Dividend received - from associate company	17	11,607	11,607
Net cash (used in)/generated from investing activities		(154,841)	224,870
CASH FLOWS FROM FINANCING ACTIVITIES			
Loans repaid	33(b)	-	(19,031)
Asset finance loans repaid	33(c)	(27,657)	(36,052)
Dividends paid to shareholders	32	(65,747)	(547,239)
Dividends paid to minority interest	26	(2,786)	(2,610)
Net cash used in financing activities		(96,190)	(604,932)
INCREASE/(DECREASE) IN CASH AND CASH EQUIVALENTS		403,541	(145,494)
CASH AND CASH EQUIVALENTS AT 1 APRIL		694,802	840,296
CASH AND CASH EQUIVALENTS AT 31 MARCH	33(d)	1,098,343	694,802

WILLIAMSON TEA KENYA LIMITED

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2013

1 REPORTING ENTITY

Williamson Tea Kenya Limited (The "company/parent") and its subsidiaries (together, the Group) have the following principal activities; the cultivation, manufacture and sale of tea, investment in property and the sale and servicing of generators. Williamson Tea Kenya Limited is incorporated in Kenya under the Kenyan Companies Act as a public limited liability company and is domiciled in Kenya. The company's shares are listed on the Nairobi Securities Exchange (NSE). Williamson Tea Kenya Limited and its subsidiaries operate in Kenya.

The address of the Group's registered office is as follows:

The Acacia Block, 2nd Floor,
Karen Office Park, Langata Road
P O Box 42281 - 00100
Nairobi.

2 ACCOUNTING POLICIES

(a) Statement of compliance

The financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS).

For the Kenyan Companies Act reporting purposes, in these financial statements, the balance sheet is represented by/equivalent to the statement of financial position and the profit and loss account is presented in the statement of comprehensive income.

(b) Application of new and revised International Financial Reporting Standards (IFRSs)

(i) *New standards and amendments to published standards effective for the year ended 31 March 2013*

The following new and revised IFRSs were effective in the current year and had no material impact on the amounts reported in these financial statements.

Amendments to IFRS 7 Disclosures – Transfers of Financial Assets	The amendments to IFRS 7 increase the disclosure requirements for transactions involving transfers of financial assets. These amendments are intended to provide greater transparency around risk exposures of transactions where a financial asset is transferred but the transferor retains some level of continuing exposure in the asset
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The application of the amendment had no effect on the Group's financial statements as the Group did not transfer any such financial assets during the year.

Amendments to IAS 12 Deferred Tax, Recovery of Underlying Assets	The amendments to IAS 12 provide an exception to the general principle set out in IAS 12, Income Taxes, that the measurement of deferred tax should reflect the manner in which an entity expects to recover the carrying amount of an asset. Specifically, the amendments establish a rebuttable presumption that the carrying amount of an investment property measured using the fair value model in IAS 40, Investment Property, will be recovered entirely through sale. The amendments were issued in response to concerns that application of IAS 12's general approach can be difficult or subjective for investment property measured at fair value because it may be that the entity intends to hold the asset for an indefinite or indeterminate period of time, during which it anticipates both rental income and capital appreciation. The application of the amendment had no impact on the Group's investment properties as the Group intends to hold the investment properties over an indefinite period of time.
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NOTES TO THE FINANCIAL STATEMENTS (Continued)

2 ACCOUNTING POLICIES

(b) Application of new and revised International Financial Reporting Standards (IFRSs) (Continued)

(i) New standards and amendments to published standards effective for the year ended 31 March 2013
(Continued)

Amendments to IFRS 1 Severe Hyperinflation	The amendments regarding severe hyperinflation provide guidance for entities emerging from severe hyperinflation either to resume presenting IFRS financial statements or to present IFRS financial statements for the first time The amendments had no effect on the Group's financial statements as the Group did not operate in a hyper-inflationary environment.
Amendment to IFRS 1: Removal of fixed dates for first time adopters	The amendments regarding the removal of fixed dates provide relief to first time adopters of IFRS's for reconstructing transactions that occurred before the dates of transition to IFRSs. The amendment had no effect on the Group as it is not a first time adopter of IFRS.

(ii) New and amended standards and interpretations in issue but not yet effective in the year ended 31 March 2013

Effective for annual periods
beginning on or after

New and amendments to standards

Amendments to IAS 1 Presentation of Items of Other Comprehensive Income	1 July 2012
IFRS 9, Financial Instruments	1 January 2015
IFRS 10, Consolidated Financial Statements	1 January 2013
IFRS 11, Joint Arrangements	1 January 2013
IFRS 12, Disclosure of Interests in Other Entities	1 January 2013
IFRS 13, Fair Value Measurement	1 January 2013
Amendments to IFRS 7 Disclosures - Offsetting Financial Assets and Financial Liabilities	1 January 2013
Amendments to IFRS 9 and IFRS 7 Mandatory Effective Date of IFRS 9 and Transition Disclosures	1 January 2015
Amendments to IFRS 10, IFRS 11 and IFRS 12 Consolidated Financial Statements, Joint Arrangements and Disclosure of Interests in Other Entities: Transition Guidance	1 January 2013
IAS 19, Employee Benefits (as revised in 2011)	1 January 2013
IAS 27, Separate Financial Statements (as revised in 2011)	1 January 2013
IAS 28, Investments in Associates and Joint Ventures (as revised in 2011)	1 January 2013
IAS 32, Financial Instruments: Presentation – Amendments to application guidance on the offsetting of financial assets and financial liabilities	1 January 2014
Annual Improvements to IFRSs 2009-2011 Cycle	1 January 2013

New interpretation

IFRIC 20 Stripping Costs in the Production Phase of a Surface Mine	1 January 2013
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2 ACCOUNTING POLICIES (Continued)

(b) Application of new and revised International Financial Reporting Standards (IFRSs) (Continued)

(iii) *Relevant new and revised IFRSs in issue but not yet effective for the year ended 31 March 2013*

• **Amendments to IAS 1, Presentation of Items of Other Comprehensive Income**

The amendments to IAS 1 introduce new terminology for the statement of comprehensive income and income statement. Under the amendments to IAS 1, the 'statement of comprehensive income' is renamed the 'statement of profit or loss and other comprehensive income' and the 'income statement' is renamed the 'statement of profit or loss'. The amendments to IAS 1 retain the option to present profit or loss and other comprehensive income in either a single statement or in two separate but consecutive statements. However, the amendments to IAS 1 require items of other comprehensive income to be grouped into two categories in the other comprehensive income section:

(a) items that will not be reclassified subsequently to profit or loss and (b) items that may be reclassified subsequently to profit or loss when specific conditions are met. Income tax on items of other comprehensive income is required to be allocated on the same basis – the amendments do not change the option to present items of other comprehensive income either before tax or net of tax.

The above amendments are generally effective for annual periods beginning on or after 1 July 2012. Other than the above mentioned presentation changes, the application of the amendments to IAS 1 is not expected to result in any impact on the profit or loss, other comprehensive income and total comprehensive income.

• **IFRS 9, Financial Instruments**

IFRS 9, issued in November 2009, introduced new requirements for the classification and measurement of financial assets. IFRS 9 was amended in October 2010 to include requirements for the classification and measurement of financial liabilities and for derecognition.

Key requirements of IFRS 9:

- All recognised financial assets that are within the scope of IAS 39 Financial Instruments: Recognition and Measurement to be subsequently measured at amortised cost or fair value. Specifically, debt investments that are held within a business model whose objective is to collect the contractual cash flows, and that have contractual cash flows that are solely payments of principal and interest on the principal outstanding are generally measured at amortised cost at the end of subsequent accounting periods. All other debt investments and equity investments are measured at their fair value at the end of subsequent accounting periods. In addition, under IFRS 9, entities may make an irrevocable election to present subsequent changes in the fair value of an equity investment (that is not held for trading) in other comprehensive income, with only dividend income generally recognised in profit or loss.
- With regard to the measurement of financial liabilities designated as at fair value through profit or loss, IFRS 9 requires that the amount of change in the fair value of the financial liability, that is attributable to changes in the credit risk of that liability, is presented in other comprehensive income, unless the recognition of the effects of changes in the liability's credit risk in other comprehensive income would create or enlarge an accounting mismatch in profit or loss. Changes in fair value attributable to a financial liability's credit risk are not subsequently reclassified to profit or loss. Previously, under IAS 39, the entire amount of the change in the fair value of the financial liability designated as fair value through profit or loss was presented in profit or loss.

The directors anticipate that IFRS 9 will be adopted in the Group's financial statements for the annual period beginning 1 January 2015 and that the application of IFRS 9 may have a significant impact on amounts reported in respect of the Group's financial assets and financial liabilities (e.g. the group will classify financial assets as subsequently measured at either amortised cost or fair value). However, it is not practicable to provide a reasonable estimate of that effect until a detailed review is done.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

2 ACCOUNTING POLICIES (Continued)

(b) Application of new and revised International Financial Reporting Standards (IFRSs) (Continued)

(iii) *New and revised IFRSs in issue but not yet effective for the year ended 31 March 2013 (Continued)*

• **New and revised Standards on consolidation, joint arrangements, associates and disclosures**

In May 2011, a package of five Standards on consolidation, joint arrangements, associates and disclosures was issued, including IFRS 10, IFRS 11, IFRS 12, IAS 27 (as revised in 2011) and IAS 28 (as revised in 2011). Key requirements of these five Standards are described below.

IFRS 10 replaces the parts of IAS 27 Consolidated and Separate Financial Statements that deal with consolidated financial statements. SIC-12 Consolidation – Special Purpose Entities will be withdrawn upon the effective date of IFRS 10. Under IFRS 10, there is only one basis for consolidation, that is, control. In addition, IFRS 10 includes a new definition of control that contains three elements: (a) power over an investee, (b) exposure, or rights, to variable returns from its involvement with the investee, and (c) the ability to use its power over the investee to affect the amount of the investor's returns. Extensive guidance has been added in IFRS 10 to deal with complex scenarios.

IFRS 11 replaces IAS 31 Interests in Joint Ventures. IFRS 11 deals with how a joint arrangement of which two or more parties have joint control should be classified. SIC-13 Jointly Controlled Entities – Non-monetary Contributions by Venturers will be withdrawn upon the effective date of IFRS 11. Under IFRS 11, joint arrangements are classified as joint operations or joint ventures, depending on the rights and obligations of the parties to the arrangements. In contrast, under IAS 31, there are three types of joint arrangements: jointly controlled entities, jointly controlled assets and jointly controlled operations.

In addition, joint ventures under IFRS 11 are required to be accounted for using the equity method of accounting, whereas jointly controlled entities under IAS 31 can be accounted for using the equity method of accounting or proportional consolidation.

IFRS 12 is a disclosure standard and is applicable to entities that have interests in subsidiaries, joint arrangements, associates and/or unconsolidated structured entities. In general, the disclosure requirements in IFRS 12 are more extensive than those in the current standards.

In June 2012, the amendments to IFRS 10, IFRS 11 and IFRS 12 were issued to clarify certain transitional guidance on the application of these IFRSs for the first time.

These five standards together with the amendments regarding the transition guidance are effective for annual periods beginning on or after 1 January 2013, with earlier application permitted provided all of these standards are applied at the same time. The Group will apply these amendments prospectively.

The directors anticipate that the application of IFRS 10 and IFRS 11 will have no material impact to the Group's financial statements currently. However, the Group would have to apply this standard to any such arrangements entered in the future. The directors anticipate that the application of IFRS 12 would result in more extensive disclosures in the financial statements.

• **IFRS 13, Fair Value Measurement**

IFRS 13 establishes a single source of guidance for fair value measurements and disclosures about fair value measurements. The Standard defines fair value, establishes a framework for measuring fair value, and requires disclosures about fair value measurements. The scope of IFRS 13 is broad; it applies to both financial instrument items and non-financial instrument items for which other IFRSs require or permit fair value measurements and disclosures about fair value measurements, except in specified circumstances. In general, the disclosure requirements in IFRS 13 are more extensive than those required in the current standards. For example, quantitative and qualitative disclosures based on the three-level fair value hierarchy currently required for financial instruments only under IFRS 7 Financial Instruments: Disclosures will be extended by IFRS 13 to cover all assets and liabilities within its scope.

WILLIAMSON TEA KENYA LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

2 ACCOUNTING POLICIES (Continued)

(b) Application of new and revised International Financial Reporting Standards (IFRSs) (Continued)

(iii) *New and revised IFRSs in issue but not yet effective for the year ended 31 March 2013 (Continued)*

- **IFRS 13, Fair Value Measurement (Continued)**

IFRS 13 is effective for annual periods beginning on or after 1 January 2013, with earlier application permitted.

The directors anticipate that the application of the new Standard may affect the amounts reported in the financial statements and result in more extensive disclosures in the financial statements, however, the Group is yet to assess IFRS 13's full impact and intends to adopt the standard no later than the accounting period beginning on or after 1 January 2013.

- **Amendments to IFRS 7 and IAS 32 Offsetting Financial Assets and Financial Liabilities and the related disclosures**

The amendments to IAS 32 clarify existing application issues relating to the offset of financial assets and financial liabilities requirements. Specifically, the amendments clarify the meaning of 'currently has a legally enforceable right of set-off' and 'simultaneous realisation and settlement'.

The amendments to IFRS 7 require entities to disclose information about rights of offset and related arrangements (such as collateral posting requirements) for financial instruments under an enforceable master netting agreement or similar arrangement.

The amendments to IFRS 7 are effective for annual periods beginning on or after 1 January 2013 and interim periods within those annual periods. The disclosures should be provided retrospectively for all comparative periods. However, the amendments to IAS 32 are not effective until annual periods beginning on or after 1 January 2014, with retrospective application required.

The directors anticipate that the application of these amendments to IAS 32 and IFRS 7 may result in more disclosures being made with regard to offsetting financial assets and financial liabilities in the future.

- **IAS 19, Employee Benefits**

The amendments to IAS 19 change the accounting for defined benefit plans and termination benefits. The most significant change relates to the accounting for changes in defined benefit obligations and plan assets. The amendments require the recognition of changes in defined benefit obligations and in fair value of plan assets when they occur, and hence eliminate the 'corridor approach' permitted under the previous version of IAS 19 and accelerate the recognition of past service costs. The amendments require all actuarial gains and losses to be recognised immediately through other comprehensive income in order for the net pension asset or liability recognised in the consolidated statement of financial position to reflect the full value of the plan deficit or surplus.

Furthermore, the interest cost and expected return on plan assets used in the previous version of IAS 19 are replaced with a 'net-interest' amount, which is calculated by applying the discount rate to the net defined benefit liability or asset. The amendments to IAS 19 require retrospective application.

The directors anticipate that the amendments to IAS 19 will be adopted in the Group's financial statements for the annual period beginning 1 January 2013 and that the application of the amendments will not have an impact on the financial statements because the Group does not have defined benefit plans.

- **Annual Improvements to IFRSs 2009 – 2011 Cycle issued in May 2012**

The Annual Improvements to IFRSs 2009 – 2011 Cycle include a number of amendments to various IFRSs. The amendments are effective for annual periods beginning on or after 1 January 2013. Amendments to IFRSs include:

- amendments to IAS 1 Presentation of Financial Statements;
- amendments to IAS 16 Property, Plant and Equipment; and
- amendments to IAS 32 Financial Instruments: Presentation.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

2 ACCOUNTING POLICIES (Continued)

(b) Application of new and revised International Financial Reporting Standards (IFRSs) (Continued)

(iii) New and revised IFRSs in issue but not yet effective for the year ended 31 March 2013 (Continued)

• Annual Improvements to IFRSs 2009 – 2011 Cycle issued in May 2012 (Continued)

IAS 1 Presentation of Financial Statements

The amendments to IAS 1 clarify that an entity is required to present a statement of financial position as at the beginning of the preceding period (third statement of financial position) only when the retrospective application of an accounting policy, restatement or reclassification has a material effect on the information in the third statement of financial position and that the related notes are not required to accompany the third statement of financial position.

The amendments also clarify that additional comparative information is not necessary for periods beyond the minimum comparative financial statement requirements of IAS 1. However, if additional comparative information is provided, the information should be presented in accordance with IFRSs, including related note disclosure of comparative information for any additional statements included beyond the minimum comparative financial statement requirements. Presenting additional comparative information voluntarily would not trigger a requirement to provide a complete set of financial statements.

The directors anticipate that the amendments to IAS 1 will result in the Group's presenting a statement of financial position at the beginning of the preceding period (third statement of financial position) only when the restatement or reclassification has a material effect on the information in the financial statements.

IAS 16 Property, Plant and Equipment

The amendments to IAS 16 clarify that spare parts, stand-by equipment and servicing equipment should be classified as property, plant and equipment when they meet the definition of property, plant and equipment in IAS 16 and as inventory otherwise.

The directors do not anticipate that the amendments to IAS 16 will have a significant effect on the Group's financial statements as the Group does not have significant amounts of spare parts, stand-by equipment and servicing equipment.

IAS 32 Financial Instruments: Presentation

The amendments to IAS 32 clarify that income tax relating to distributions to holders of an equity instrument and to transaction costs of an equity transaction should be accounted for in accordance with IAS 12 Income Taxes.

The directors anticipate that the amendments to IAS 32 will have no effect on the Group's financial statements as the Group has already adopted this treatment.

(iv) Early adoption of standards

The Group did not early-adopt any new or amended standards in 2013.

NOTES TO THE FINANCIAL STATEMENTS

2 ACCOUNTING POLICIES (Continued)

The Group's principal accounting policies are set out below:

Basis of preparation

The consolidated financial statements are prepared under the historical cost convention as modified by the revaluation of certain assets.

Basis of consolidation

Subsidiary undertakings, being those companies in which the Group either directly or indirectly has an interest of more than 50% of the voting rights or otherwise has power to exercise control over the operations, have been consolidated. Subsidiaries are consolidated from the date on which effective control is transferred to the Group and are no longer consolidated as from the date of disposal. All intercompany transactions balances and unrealised surpluses and deficits on transactions with the subsidiary company have been eliminated.

The Group financial statements reflect the result of the consolidation of the financial statements of the company and its subsidiaries, details of which are disclosed in note 18, and include the Group's share of the results of the associate companies as disclosed in note 17, all made up to 31 March.

Non-controlling interests in the net assets of consolidated subsidiaries are identified separately from the Group's equity therein. Non-controlling interests consist of the amount of those interests at the date of the original business combination and the non-controlling interest's share of changes in equity since the date of the combination. Non-controlling interests that are present ownership interests and entitle their holders to a proportionate share of the entity's net assets in the event of liquidation may be initially measured either at fair value or at the non-controlling interests' proportionate share of the recognised amounts of the acquiree's identifiable net assets. The choice of measurement basis is made on a transaction-by-transaction basis. Other types of non-controlling interests are measured at fair value or, when applicable, on the basis specified.

Investments in subsidiary companies in the company's books are carried at cost less provision for impairment.

Investments in associate companies

An associate is an entity over which the Group has significant influence and that is neither a subsidiary nor an interest in a joint venture. Significant influence is the power to participate in the financial and operating policy decisions of the investee but is not control or joint control over those policies.

The results and assets and liabilities of associates are incorporated in these consolidated financial statements using the equity method of accounting, except when the investment is classified as held for sale, in which case it is accounted for in accordance with IFRS 5 Non-current Assets Held for Sale and Discontinued Operations. Under the equity method, an investment in an associate is initially recognised in the consolidated statement of financial position at cost and adjusted thereafter to recognise the Group's share of the profit or loss and other comprehensive income of the associate. When the Group's share of losses of an associate exceeds the Group's interest in that associate (which includes any long-term interests that, in substance, form part of the Group's net investment in the associate), the Group discontinues recognising its share of further losses. Additional losses are recognised only to the extent that the Group has incurred legal or constructive obligations or made payments on behalf of the associate.

Any excess of the cost of acquisition over the Group's share of the net fair value of the identifiable assets, liabilities and contingent liabilities of an associate recognised at the date of acquisition is recognised as goodwill, which is included within the carrying amount of the investment. Any excess of the Group's share of the net fair value of the identifiable assets, liabilities and contingent liabilities over the cost of acquisition, after reassessment, is recognised immediately in profit or loss.

The requirements of IAS 39 are applied to determine whether it is necessary to recognise any impairment loss with respect to the Group's investment in an associate. When necessary, the entire carrying amount of the investment (including goodwill) is tested for impairment in accordance with IAS 36 Impairment of Assets as a single asset by comparing its recoverable amount (higher of value in use and fair value less costs to sell) with its carrying amount. Any impairment loss recognised forms part of the carrying amount of the investment. Any reversal of that impairment loss is recognised in accordance with IAS 36 to the extent that the recoverable amount of the investment subsequently increases.

WILLIAMSON TEA KENYA LIMITED

NOTES TO THE FINANCIAL STATEMENTS

2 ACCOUNTING POLICIES (Continued)

Investments in associate companies (Continued)

Upon disposal of an associate that results in the Group losing significant influence over that associate, any retained investment is measured at fair value at that date and the fair value is regarded as its fair value on initial recognition as a financial asset in accordance with IAS 39. The difference between the previous carrying amount of the associate attributable to the retained interest and its fair value is included in the determination of the gain or loss on disposal of the associate. In addition, the Group accounts for all amounts previously recognised in other comprehensive income in relation to that associate on the same basis as would be required if that associate had directly disposed of the related assets or liabilities. Therefore, if a gain or loss previously recognised in other comprehensive income by that associate would be reclassified to profit or loss on the disposal of the related assets or liabilities, the Group reclassifies the gain or loss from equity to profit or loss (as a reclassification adjustment) when it loses significant influence over that associate.

When a Group entity transacts with its associate, profits and losses resulting from the transactions with the associate are recognised in the Group's consolidated financial statements only to the extent of interests in the associate that are not related to the Group.

Revenue recognition

Sales are recognised upon despatch of products and are stated net of returns, discounts and value added tax.

Rental income is recognised on the accruals basis and dividend income is recognised when the shareholder's right to receive payment has been established.

Interest income is accrued on a time basis, by reference to the principal outstanding and at the effective interest rate applicable.

Inventories

Made tea inventories are stated at the lower of cost and net realisable value. Made tea inventory costs comprise fair value of tea leaf less point of sale costs at the point of harvest and actual costs incurred at the factory in the processing of made tea from tea leaf. Net realisable value represents the estimated selling price less all estimated costs of completion and costs to be incurred in marketing, selling and distribution.

Firewood is stated at the lower of production cost and net realizable value.

Consumable stores inventories are stated at the lower of cost and net realisable value. Cost is determined by the weighted average method.

Biological assets

Biological assets (tea bushes, fuel plantations and timber plantations) and agricultural produce have been stated at their fair value less estimated point-of-sale costs.

The fair value of tea bushes is determined based on the present value of expected net cash flows discounted at a current market-determined pre-tax rate. The fair values of fuel and timber plantations are determined based on the prices existing in the market.

The cost of replanting, infilling and upkeep are recognised as an expense through profit or loss.

Property, plant and equipment

Property, plant and equipment are stated at cost or as professionally revalued less accumulated depreciation and any impairment losses. Professional valuations are carried out in accordance with the company's policy of revaluing certain items of property, plant and equipment from time to time.

The bases of valuation are as follows:

Land – open market value for the existing use

Other assets – net current replacement cost.

Any revaluation increase arising on the revaluation of such land and other assets is recognized in other comprehensive income, except to the extent that it reverses a revaluation decrease for the same asset previously recognised in profit or loss, in which case the increase is credited to profit or loss to the extent of the decrease previously expensed. A decrease in the carrying amount arising on the revaluations of such land and other assets is recognised in profit or loss to the extent that it exceeds the balance, if any, held in the revaluation surplus reserve relating to a previous revaluation of that asset.

WILLIAMSON TEA KENYA LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

2 ACCOUNTING POLICIES (Continued)

Property, plant and equipment (Continued)

An item of property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected to rise from the continued use of the asset. The gain or loss arising on disposal or retirement of an item of property, plant and equipment is determined as the difference between sales proceeds and the carrying amount of the asset and is recognised in profit or loss.

Capital work in progress

Capital work in progress relates to property and plant under construction. Cost includes materials, direct labour and any other direct expenses incurred in respect of the project. The amounts are transferred to the appropriate property, plant and equipment categories once the project is completed and commissioned.

Depreciation

No depreciation is provided on freehold land. Capital work in progress is not depreciated until the asset is brought into use.

Other items of property, plant and equipment are depreciated on a straight line basis to write off the cost or valuation over their estimated useful lives. The estimated useful lives, residual values and depreciation method are reviewed at each year end, with the effect of any changes in estimate accounted for on a prospective basis. The annual rates generally in use are as follows:

Buildings	5%
Dams	2.5%
Machinery and equipment	10%
Tractors and accessories	10 - 25%
Motor vehicles	25%
Office equipment, furniture and fittings	10%
Computers	25%

Depreciation on revalued building and other property is recognised in profit or loss. On the subsequent sale or retirement of a revalued property, the attributable revaluation surplus remaining in the properties revaluation reserve is transferred directly to retained earnings.

Each year, the difference between depreciation based on the revalued carrying amount of an asset (the depreciation charged to the profit or loss) and depreciation based on the asset's original cost is transferred from the revaluation surplus to revenue reserves.

Intangible assets-computer software costs

Costs incurred on computer software are accounted for at cost less accumulated amortisation and any accumulated impairment losses. Amortisation is calculated on a straight line basis over the estimated useful lives not exceeding a period of 3 years.

Leasehold land

Payments to acquire leasehold interest in land are treated as prepaid operating lease rentals and amortised over the period of the lease. When a lease includes land and buildings elements, the Group assess the classification of each element as either finance lease or operating lease. In determining classification of the land element, an important consideration is that land normally has an indefinite economic life. Therefore the finance lease or operating lease classification of the land is considered a critical area of judgement. See note 3 to these financial statements.

Investment property

Investment properties are properties held to earn rentals and/or for capital appreciation (including property under construction for such purposes). Investment properties are measured initially at cost, including transaction costs. Subsequent to initial recognition, investment properties are measured at fair value. Gains and losses arising from changes in the fair value of investment properties are included in profit or loss in the period in which they arise.

An investment property is derecognised upon disposal or when the investment property is permanently withdrawn from use and no future economic benefits are expected from the disposal. Any gain or loss arising on derecognition of the property (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in profit or loss in the period in which the property is derecognised.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

2 ACCOUNTING POLICIES (Continued)

Taxation

Income tax expense represents the sum of the tax currently payable and deferred tax.

(i) Current tax

The tax currently payable is based on taxable profit for the year. Taxable profit differs from profit as reported in the profit or loss because of items of income or expense that are taxable or deductible in other years and items that are never taxable or deductible. The Group's liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the end of the reporting period.

(ii) Deferred tax

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the consolidated financial statements and the corresponding tax bases used in the computation of taxable profit. Deferred tax liabilities are generally recognised for all taxable temporary differences. Deferred tax assets are generally recognised for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilised. Such deferred tax assets and liabilities are not recognised if the temporary difference arises from goodwill or from the initial recognition (other than in a business combination) of other assets and liabilities in a transaction that affects neither the taxable profit nor the accounting profit.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period. The measurement of deferred tax liabilities and assets reflects the tax consequences that would follow from the manner in which the Group expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities.

(iii) Current and deferred tax for the year

Current and deferred tax are recognised in profit or loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income or directly in equity respectively. Where current tax or deferred tax arises from the initial accounting for a business combination, the tax effect is included in the accounting for business combination.

Employee benefits costs

(i) Group's defined contribution retirement benefit scheme

The Group operates a defined contribution scheme for eligible non-unionisable employees. The assets of the scheme are held in a separate trustee administered fund. The Group's contributions to the defined contribution plan are charged to the profit or loss in the year to which they relate.

(ii) Statutory defined contribution pension scheme

The Group also contributes to the statutory National Social Security Fund. This is a defined contribution scheme registered under the National Social Security Act. The Group's obligations under the scheme are limited to specific contributions legislated from time to time. The Group's contribution in respect of retirement benefit costs are charged to the profit or loss account in the year which they relate.

WILLIAMSON TEA KENYA LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

2 ACCOUNTING POLICIES (Continued)

Employee benefits costs (Continued)

(iii) Other employee entitlements

Employee entitlements to annual leave are recognised when they accrue to employees. A provision is made for the estimated liability for annual leave accrued at the end of the reporting period.

The Group's unionisable staff who resign or whose services are terminated either due to illness or other reasons after completion of ten years of continuous and meritorious service are entitled to twenty one day's pay for each completed year of service by way of gratuity, based on the wages or salary at the time of such resignation or termination of services, as provided for in the trade union agreement. An employee who is dismissed or terminated for gross misconduct is not entitled to gratuity. The service gratuity is provided for in the financial statements at present value of benefits payable as it accrues to each employee.

Impairment of tangible and intangible assets excluding goodwill

At the end of each reporting period, the group reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). Where it is not possible to estimate the recoverable amount of an individual asset, the group estimates the recoverable amount of the cash-generating unit to which the asset belongs. Where a reasonable and consistent basis of allocation can be identified, corporate assets are also allocated to individual cash-generating units, or otherwise they are allocated to the smallest group of cash-generating units for which a reasonable and consistent allocation basis can be identified.

Intangible assets with indefinite useful lives and intangible assets not yet available for use are tested for impairment at least annually, and whenever there is an indication that the asset may be impaired.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in profit or loss.

Where an impairment loss subsequently reverses, the carrying amount of the asset (or a cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessee. All other leases are classified as operating leases.

Rental income from operating leases is recognised on a straight line basis over the terms of the relevant leases.

Rentals payable under operating leases are charged to income on a straight-line basis over the term of the relevant lease.

Assets held under finance leases are recognised as assets of the Group at their fair value at the date of acquisition or, if lower, at the present value of the minimum lease payments. The corresponding liability to the lessor is included in the statement of financial position as a finance lease obligation. Lease payments are apportioned between finance charges and reduction of the lease obligation so as to achieve a constant rate of interest on the remaining balance of the liability. Finance charges are charged directly against income.

WILLIAMSON TEA KENYA LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

2 ACCOUNTING POLICIES (Continued)

Foreign currencies

In preparing the financial statements of each individual Group entity, transactions in currencies other than the entity's functional currency (foreign currencies) are recognised at the rates of exchange prevailing at the dates of the transactions. At the end of each reporting period, monetary items denominated in foreign currencies are retranslated at the rates prevailing at that date. Non-monetary items carried at fair value that are denominated in foreign currencies are retranslated at the rates prevailing at the date when the fair value was determined. Non-monetary items that are measured in terms of historical cost in a foreign currency are not retranslated.

Exchange differences on monetary items are recognised in profit or loss in the period in which they arise except for:

- exchange differences on foreign currency borrowings relating to assets under construction for future productive use, which are included in the cost of those assets when they are regarded as an adjustment to interest costs on those foreign currency borrowings;
- exchange differences on transactions entered into in order to hedge certain foreign currency risks; and
- exchange differences on monetary items receivable from or payable to a foreign operation for which settlement is neither planned nor likely to occur (therefore forming part of the net investment in the foreign operation), which are recognised initially in other comprehensive income and reclassified from equity to profit or loss on repayment of the monetary items.

Financial instruments

A financial asset or liability is recognised when the Group becomes party to the contractual provisions of the instrument.

Financial assets

Classification

The Group classifies its financial assets into the following categories: Financial assets at fair value through profit or loss; loans and receivables; held- to- maturity investments; and available-for-sale assets. Management determines the appropriate classification of its investments at initial recognition.

(i) Financial assets at fair value through profit or loss

This category has two sub-categories: Financial assets held for trading and those designated at fair value through profit or loss at inception. A financial asset is classified in this category if acquired principally for the purpose of selling in the short term or if so designated by management. Gains and losses arising from changes in fair value are recognised in the profit or loss.

(ii) Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. They arise when the Group provides money, goods or services directly to a debtor with no intention of trading the receivable.

(iii) Held to maturity investments

Financial assets with fixed or determinable payments and fixed maturity where the Group has the positive intent and ability to hold to maturity other than loans and receivables originated by the Group are classified as held to maturity investments and are measured at amortised cost using effective interest rate method less any impairment with revenue recognised on an effective yield basis.

(iv) Available-for-sale financial assets

Financial assets that are not (a) financial assets at fair value through profit or loss, (b) loans and receivables, or (c) financial assets held to maturity are classified as available-for-sale.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

2 ACCOUNTING POLICIES (Continued)

Financial instruments (Continued)

Financial assets (Continued)

Recognition and measurement

Financial assets are initially recognised at fair value plus transaction costs for all financial assets not carried at fair value through profit or loss.

Available-for-sale financial assets and financial assets at fair value through profit or loss are subsequently carried at fair value. Loans and receivables and held-to-maturity investments are carried at amortised cost using the effective interest method. Gains and losses arising from changes in the fair value of "financial assets at fair value through profit or loss" are included in the profit or loss in the period in which they arise. Gains and losses arising from changes in the fair value of available-for-sale financial assets are recognised in other comprehensive income and accumulated in the investments revaluation reserve, with the exception of impairment losses, interest calculated using the effective interest method, and foreign exchange gains and losses on monetary assets, which are recognised in profit or loss. Where the investment is disposed of or is determined to be impaired, the cumulative gain or loss previously accumulated in the investments revaluation reserve is reclassified to profit or loss. Dividends on available-for-sale equity instruments are recognised in the profit or loss when the Group's right to receive the dividends is established.

Impairment and uncollectability of financial assets

At the end of each reporting period, all financial assets are subject to review for impairment.

If it is probable that the Group will not be able to collect all amounts due (principal and interest) according to the contractual terms of loans, receivables, or held-to-maturity investments carried at amortised cost, an impairment or bad debt loss has occurred. The carrying amount of the asset is reduced to its estimated recoverable amount either directly or through use of an allowance account. The amount of the loss incurred is dealt with through profit or loss for the period.

If a loss on a financial asset carried at fair value (recoverable amount is below original acquisition cost) has been recognised in other comprehensive income and there is objective evidence that the asset is impaired, the cumulative net loss that had been recognised in other comprehensive income is removed and recognised in the profit or loss for the period even though the financial asset has not been derecognised.

De-recognition of financial assets

Financial assets are derecognised when the contractual rights to receive cash flows from the financial assets have expired or where the Group has transferred substantially all risks and rewards of ownership of the asset to another entity. If the Group neither transfers nor retains substantially all the risks and rewards of ownership and continues to control the transferred asset, the Group recognises its retained interest in the asset and an associated liability for amounts it may have to pay. If the Group retains substantially all the risks and rewards of ownership of a transferred financial asset, the Group continues to recognise the financial asset and also recognises a collateralised borrowing for the proceeds received.

On derecognition of a financial asset in its entirety, the difference between the asset's carrying amount and the sum of the consideration received and receivable and the cumulative gain or loss that had been recognized in other comprehensive income and accumulated in equity is recognized in profit or loss.

WILLIAMSON TEA KENYA LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

2 ACCOUNTING POLICIES (Continued)

Financial instruments (Continued)

Financial liabilities

Bank borrowings

Interest bearing bank loans and overdrafts are recorded at the proceeds received, net of direct issue costs. Finance charges including premiums payable on settlement or redemption, are accounted for on an accrual basis and are added to the carrying amount of the instrument to the extent that they are not settled in the period they arise.

Trade payables

Trade payables are carried at cost which is measured at the fair or contracted value of the consideration to be paid in future in respect of goods and services supplied by the suppliers, whether billed or not, to the Group.

Derecognition of financial liabilities

A financial liability is derecognised when its contractual obligations are redeemed or otherwise extinguished. The difference between the carrying amount of the financial liability derecognised and the consideration paid and payable is recognised in profit or loss.

Offsetting

Financial instrument are set off and the net amount reported in the statement of financial position when there is a legal right to set off the amounts and there is an intention to settle on a net basis or to realise the assets and settle the liability simultaneously.

Dividends payable

Dividends payable on ordinary shares are charged to retained earnings in the period in which they are declared. Proposed dividends are not accrued for until ratified in an Annual General Meeting.

Operating segments

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker (Group Board of directors). The directors then allocate resources to and assesses the performance of the operating segments of the Group.

The operating segments are based on the Group's internal reporting structure. In accordance with IFRS 8, the Group has the following operating segments; cultivation sale and manufacture of tea, investment in property and the sale and servicing of generators.

Segment assets and liabilities comprise those operating assets and liabilities that are directly attributable to the segment or can be allocated to the segment on a reasonable basis.

Capital expenditure represents the total cost incurred during the year to acquire segment assets that are expected to be used during more than one period (property, plant and equipment).

Comparatives

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

3 CRITICAL JUDGMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY

In the process of applying the Group's accounting policies, management has made estimates and assumptions that affect the reported amounts of assets and liabilities within the next financial year. Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. These are dealt with below:

(i) Critical judgments in applying the Group's accounting policies

Held to maturity investments

The Group follows the guidance of IAS 39 on classifying non-derivative financial assets with fixed or determinable payments and fixed maturity as held-to-maturity financial assets. This classification requires significant judgment. In making this judgment, the Group evaluates its intention and ability to hold such investments to maturity. If the Group fails to keep these assets to maturity, for example selling an insignificant amount close to maturity, it will be required to classify the entire class as available-for-sale. The assets would therefore have to be measured at fair value and not amortised cost with the difference arising from this change in valuation being a corresponding entry in the fair value reserve in shareholders' equity.

Impairment losses

At the end of each reporting period, the Group reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss. Where it is not possible to estimate the recoverable amount of an individual asset, the Group estimates the recoverable amount of the cash generating unit to which the asset belongs.

Any impairment losses are recognised immediately. Where an impairment loss subsequently reverses, the carrying amount of the asset is increased to the revised estimate of its recoverable amount. A reversal of an impairment loss other than that arising from goodwill, is recognised as income immediately.

Classification of leases on land and buildings as finance or operating leases

At the inception of each lease of land or building, the Group considers the substance rather than the form of the lease contract. Examples of situations that individually or in combination would normally lead to a lease being classified as a finance lease are:

- The lease transfers ownership of the asset to the lessee by the end of the lease term;
- The lessee has the option to purchase the asset at a price that is expected to be sufficiently lower than the fair value at the date the option becomes exercisable for it to be reasonably certain, at the inception of the lease, that the option will be exercised;
- The lease term is for the major part of the economic life of the asset even if title is not transferred;
- At the inception of the lease the present value of the minimum lease payments amounts to at least substantially all of the fair value of the leased asset; and
- The leased assets are of such a specialised nature that only the lessee can use them without major modifications.

The Group also considers indicators of situations that individually or in combination could also lead to a lease being classified as a finance lease. Examples of such indicators include:

- If the lessee can cancel the lease, the lessor's losses associated with the cancellation are borne by the lessee;
- gains or losses from the fluctuation in the fair value of the residual accrue to the lessee (for example, in the form of a rent rebate equaling most of the sales proceeds at the end of the lease); and the lessee has the ability to continue the lease for a secondary period at a rent that is substantially lower than market rent.

WILLIAMSON TEA KENYA LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

3 CRITICAL JUDGMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY (Continued)

(ii) Key sources of estimation uncertainty

Biological assets

In determining the fair value of biological assets, the Group uses the present value of expected discounted cashflows from the assets in their present location and condition. The discounted cash flows are estimates based on historical data relating to yields, prices of made tea and exchange rates, and on any projected changes in point of sale costs. The methodology and assumptions used are reviewed regularly to try to minimize differences between estimates and actual experience, but material differences can and do arise. The significant assumptions, and a note as to an instance where there has been a material change as a result of reviewing the assumptions, are set out in note 20.

Property, plant and equipment

Critical estimates are made by directors in determining the useful lives and residual values to property, plant and equipment based on the intended use of the assets and the economic lives of those assets. Subsequent changes in circumstances or prospective utilisation of the assets concerned could result in the actual useful lives or residual values differing from initial estimates.

4 SEGMENTAL INFORMATION

a) Products and services from which reportable segments derive their revenues

In accordance with IFRS 8, Operating segments, information reported to the Group's chief operating decision makers (the Board of Directors) for the purposes of resource allocation and assessment of segment performance is focussed on the principal activities and the products offered by the Group.

The identifiable reporting segments of the Group therefore are:

- The cultivation, manufacture and sale of tea.
- Investment in property.
- Sale and servicing of generators.

b) Measurement of operating segment profit or loss, assets and liabilities

The accounting policies of the operating segments are the same as those described in the summary of significant accounting policies in note 2.

c) Segment revenues and results, assets and liabilities and other information

The segment information provided to the Group board of directors for the reportable segments is as follows:-

	Tea Sh'000	Property Sh'000	Generator trading Sh'000	Group Sh'000
2013				
Revenues and results				
Revenue	3,437,110	2,957	50,614	3,490,681
Fair value gain on investment property	-	189,500	-	189,500
Other income	85,179	-	-	85,179
Finance costs	(2,690)	-	-	(2,690)
Profit before tax (excluding associate)	1,072,867	2,942	(21,225)	1,054,584
Group's share of associate company results before tax	101,176	-	-	101,176
Assets and liabilities				
Segment assets	7,266,441	715,000	42,393	8,023,834
Segment liabilities	2,161,063	-	4,514	2,165,577

WILLIAMSON TEA KENYA LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4 SEGMENTAL INFORMATION (continued)

c) Segment revenues and results, assets and liabilities and other information (Continued)

	Tea Sh'000	Property Sh'000	Generator trading Sh'000	Group Sh'000
2013				
Other information				
Depreciation	251,841	-	1,711	253,552
Amortisation of prepaid operating lease	84	-	-	84
Amortisation of intangible assets	1,329	-	-	1,329
Capital expenditure	143,132	-	4,896	148,028
2012				
Revenues and results				
Revenue	3,519,971	14,604	72,834	3,607,409
Other income	280,368	-	-	280,368
Finance costs	4,072	-	-	4,072
Profit before tax (excluding associate)	1,104,460	14,049	455	1,118,964
Group's share of associate company results before tax	44,535	-	-	44,535
Assets and liabilities				
Segment assets	6,825,622	345,500	72,105	7,243,227
Segment liabilities	2,278,312	-	19,859	2,298,171
Other information				
Depreciation	123,177	-	2,015	125,192
Amortisation of prepaid operating lease	84	-	-	84
Amortisation of intangible assets	585	-	-	585
Capital expenditure	221,846	-	44	221,890

Revenue reported above represents revenue generated from external customers.

d) Information on major customers

Included in total revenue of Sh 3,490,681,000 (2012: Sh 3,607,409,000) is revenue of approximately Sh 3,393,604,000 (2012: Sh 3,466,379,000) which arose through a related company to the major customers.

e) Geographical information

The Group is based in Kenya and hence all its assets are located in Kenya. However, the Group's revenue is derived from the following markets:

	2013 Sh'000	2012 Sh'000
Global markets	3,393,604	3,466,379
Kenya	97,077	141,030
	<u>3,490,681</u>	<u>3,607,409</u>

WILLIAMSON TEA KENYA LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2013 Sh'000	2012 Sh'000
5 OTHER INCOME		
Fair value gain on investment property	189,500	-
Gain on sale of investment property and associate company	-	157,850
Interest on term deposits	77,461	103,119
Miscellaneous income	7,718	19,399
	<u>274,679</u>	<u>280,368</u>
6 FINANCE COSTS		
Interest expense on:		
- bank overdrafts	2,414	1,245
- bank loans	50	2,691
- Group loans	226	136
	<u>2,690</u>	<u>4,072</u>
7 PROFIT BEFORE TAXATION		
The profit before taxation is arrived at after charging:		
Amortisation of leasehold property (note 15)	84	84
Amortisation of intangible assets (note 14)	1,329	585
Depreciation of property and equipment (note 13)	253,552	125,192
Directors' remuneration:		
Non – executive		
Fees	1,200	1,088
Other emoluments	-	-
Executive	17,663	16,995
Staff costs (note 8)	610,431	609,490
Auditors' remuneration	5,478	5,483
	<u> </u>	<u> </u>
and after crediting:		
Operating lease rental income	2,957	14,604
Fair value of agricultural produce harvested during the year	749,821	859,365
Dividend income	11,607	11,607
Gain on disposal of property, plant and equipment	436	7,635
Gain on disposal of investment property and associate company	-	157,850
Fair value gain on investment property	189,500	-
	<u> </u>	<u> </u>
8 STAFF COSTS		
Wages and salaries	512,430	473,587
Social security costs (NSSF)	7,166	6,640
Pension costs (defined contribution plan)	5,157	4,423
Service gratuity and other terminal benefits	35,644	39,381
Leave pay	27,937	25,340
Medical expenses	22,097	16,207
	<u>610,431</u>	<u>565,578</u>

WILLIAMSON TEA KENYA LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	GROUP		COMPANY	
	2013 Sh'000	2012 Sh'000	2013 Sh'000	2012 Sh'000
9 TAXATION				
(a) TAXATION CHARGE				
Current taxation based on the adjusted profit at 30%				
- current year	244,114	220,216	138,958	164,736
- prior year over provision	(50,478)	(712)	(49,606)	(919)
	<u>193,636</u>	<u>219,504</u>	<u>89,352</u>	<u>163,817</u>
Deferred taxation charge (note 27)				
- current year	79,030	74,563	38,025	(5,645)
- prior year (over)/under provision	(2,644)	1,001	(1,241)	547
	<u>76,386</u>	<u>75,564</u>	<u>36,784</u>	<u>(5,098)</u>
	<u>270,022</u>	<u>295,068</u>	<u>126,136</u>	<u>158,719</u>
Share of associate company's taxation (note 17):				
Current taxation	21,170	13,579	-	-
Deferred taxation charge	8,909	112	-	-
	<u>30,079</u>	<u>13,691</u>	<u>-</u>	<u>-</u>
Taxation charge	<u>300,101</u>	<u>308,759</u>	<u>126,136</u>	<u>158,719</u>
(b) RECONCILIATION OF EXPECTED TAX BASED ON ACCOUNTING PROFIT TO TAX CHARGE				
Accounting profit before taxation	<u>1,155,760</u>	<u>1,163,499</u>	<u>616,798</u>	<u>732,954</u>
Tax at the applicable rate of 30%	346,728	349,050	185,039	219,887
Tax effect of expenses not deductible for tax purposes	6,696	20,491	4,777	5,686
Tax effect of income not taxable	(201)	(61,071)	(12,833)	(66,482)
Prior year over provision of current tax	(50,478)	(712)	(49,606)	(919)
Prior year (over)/under provision of deferred tax	(2,644)	1,001	(1,241)	547
Taxation charge	<u>300,101</u>	<u>308,759</u>	<u>126,136</u>	<u>158,719</u>

WILLIAMSON TEA KENYA LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

9 TAXATION (Continued)

	GROUP		COMPANY	
	2013 Sh'000	2012 Sh'000	2013 Sh'000	2012 Sh'000
(c) TAX MOVEMENT				
At beginning of the year:				
Taxation payable	1,164	14,630	-	-
Taxation recoverable	(34,242)	(6,009)	(1,411)	(919)
	<u>(33,078)</u>	<u>8,621</u>	<u>(1,411)</u>	<u>(919)</u>
Taxation charge	193,636	219,504	89,352	163,817
Taxation paid	(125,500)	(261,203)	(91,633)	(164,309)
At end of the year				
Net tax payable/ (recoverable)	<u>35,058</u>	<u>(33,078)</u>	<u>(3,692)</u>	<u>(1,411)</u>
Comprising:				
Taxation payable	41,527	1,164	-	-
Taxation recoverable	(6,469)	(34,242)	(3,692)	(1,411)
	<u>35,058</u>	<u>(33,078)</u>	<u>(3,692)</u>	<u>(1,411)</u>

10 PROFIT FOR THE YEAR - COMPANY

The company profit for the year of Sh 490,662,000 (Sh 574,235,000) has been dealt with in the separate financial statements of Williamson Tea Kenya Limited.

11 EARNINGS PER SHARE

Earnings per share is calculated by dividing the profit attributable to shareholders by the weighted average number of ordinary shares in issue during the year.

	2013	2012
Earnings		
Earnings for purposes of basic and diluted earnings per share (Sh'000)	<u>826,288</u>	<u>820,822</u>
Number of shares		
Number of ordinary shares	<u>8,756,320</u>	<u>8,756,320</u>
Earnings per share		
Basic and diluted (Sh)	<u>94.36</u>	<u>93.74</u>

There were no potentially dilutive shares outstanding at 31 March 2013 and at 31 March 2012.

12 PROPOSED DIVIDEND

The Group did not pay an interim dividend in 2013 (2012 - Sh 50.00 per share was paid representing an amount of Sh 437,816,000).

In respect of the current year, the directors propose that a dividend of Sh 7.50 per share (2012 - Sh 7.50 per share) amounting to a total of Sh 65,672,400 (2012 - Sh 65,672,400) be paid to shareholders. This dividend is subject to approval by shareholders at the Annual General Meeting and has not been included as a liability in these financial statements.

WILLIAMSON TEA KENYA LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

13 PROPERTY, PLANT AND EQUIPMENT

GROUP

	Land and buildings Sh 000	Machinery and equipment Sh 000	Tractors and accessories Sh 000	Motor vehicles Sh 000	Office equipment furniture and fittings Sh 000	Computers Sh 000	Work in progress Sh 000	Total Sh 000
COST OR VALUATION								
At 1 April 2011	642,676	541,160	94,092	67,021	24,238	33,347	15,062	1,417,596
Additions	14,027	101,436	469	14,729	17,204	5,852	68,173	221,890
Disposals	(2,208)	(2,965)	(10,992)	(12,683)	(1,672)	(2,161)	-	(32,681)
Transfer from work in progress	8,222	11,966	-	-	-	-	(20,188)	-
Reclassification	(13,027)	16,716	(3,689)	-	-	-	-	-
Revaluation reserve	183,788	(116,466)	-	-	-	-	-	67,322
At 31 March 2012	833,478	551,847	79,880	69,067	39,770	37,038	63,047	1,674,127
Comprising:								
At valuation 2012	611,727	305,003	-	-	-	-	-	916,730
At cost	221,751	246,844	79,880	69,067	39,770	37,038	63,047	757,397
At 31 March 2012	833,478	551,847	79,880	69,067	39,770	37,038	63,047	1,674,127
At 1 April 2012	833,478	551,847	79,880	69,067	39,770	37,038	63,047	1,674,127
Additions	12,655	22,897	19,873	27,017	734	6,231	58,621	148,028
Disposals	(1,508)	(1,805)	(5,324)	(11,298)	(1,903)	(1,848)	-	(23,686)
Transfer from investment property	350,000	-	-	-	-	-	-	350,000
Transfer from work in progress	2,906	36,411	1,835	-	-	193	(41,345)	-
At 31 March 2013	1,197,531	609,350	96,264	84,786	38,601	41,614	80,323	2,148,469
Comprising:								
At valuation 2012	611,727	305,003	-	-	-	-	-	916,730
At cost	585,804	304,347	96,264	84,786	38,601	41,614	80,323	1,231,739
At 31 March 2013	1,197,531	609,350	96,264	84,786	38,601	41,614	80,323	2,148,469

WILLIAMSON TEA KENYA LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

13 PROPERTY, PLANT AND EQUIPMENT (Continued)

GROUP

	Land and buildings Sh 000	Machinery and equipment Sh 000	Tractors and accessories Sh 000	Motor vehicles Sh 000	Office equipment furniture and fittings Sh 000	Computers Sh 000	Work in progress Sh 000	Total Sh 000
DEPRECIATION								
At 1 April 2011	178,257	162,221	71,324	42,842	14,860	24,545	-	494,049
Charge for the year	37,996	66,273	7,186	8,808	1,764	3,165	-	125,192
Eliminated on disposal	(1,633)	(2,766)	(10,992)	(9,524)	(541)	(2,160)	-	(27,616)
Reclassification	(6,154)	9,235	(3,081)	-	-	-	-	-
Eliminated on revaluation	(204,763)	(193,632)	-	-	-	-	-	(398,395)
At 31 March 2012	3,703	41,331	64,437	42,126	16,083	25,550	-	193,230
At 1 April 2012	3,703	41,331	64,437	42,126	16,083	25,550	-	193,230
Charge for the year	144,592	80,776	5,604	15,010	2,700	4,870	-	253,552
Eliminated on disposal	-	-	(5,323)	(10,434)	(1,348)	(1,848)	-	(18,953)
At 31 March 2013	148,295	122,107	64,718	46,702	17,435	28,572	-	427,829
NET BOOK VALUE								
At 31 March 2013	1,049,236	487,243	31,546	38,084	21,166	13,042	80,323	1,720,640
At 31 March 2012	829,775	510,516	15,443	26,941	23,687	11,488	63,047	1,480,897
NET BOOK VALUE (Cost basis)								
At 31 March 2013	432,945	269,680	15,443	26,941	23,687	11,488	63,047	886,786
At 31 March 2012	233,597	268,413	15,442	26,942	23,687	11,488	63,047	642,616

Land, building and machinery were last revalued as at 31 March 2012 by Lloyd Masika Limited, Registered Valuers and Estate Agents on the basis of open market value for the existing use.

Included in property, plant and equipment are assets with an original cost of Sh 180,292,578 (2012 - Sh 143,638,080) which are fully depreciated and whose normal depreciation charge for the year would have been Sh 25,577,630 (2012 - Sh 19,649,428).

Land and buildings with net book value of Sh 699,236,000 (2012 - Sh 829,775,000) have been charged to secure banking facilities granted to the Group as disclosed in note 29.

Motor vehicles and machinery with a net book value of Sh 64,708,226 (2012 - Sh 82,875,579) are subject to a finance lease as disclosed in note 30.

WILLIAMSON TEA KENYA LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

13 PROPERTY, PLANT AND EQUIPMENT (Continued)

COMPANY

	Land and buildings Sh'000	Machinery and equipment Sh'000	Tractors and accessories Sh'000	Motor vehicles Sh'000	Office equipment furniture and fittings Sh'000	Computers Sh'000	Work in progress Sh'000	Total Sh'000
COST OR VALUATION								
At 1 April 2011	333,105	149,809	43,918	27,613	11,659	16,170	2,115	584,389
Additions	5,431	61,967	-	6,450	15,980	2,630	2,396	94,854
Disposals	-	(1,087)	(7,600)	(7,352)	(1,564)	(1,899)	-	(19,502)
Reclassification	(13,027)	16,716	(3,689)	-	-	-	-	-
Transfer from work in progress	1,389	1,594	-	-	-	-	(2,983)	-
Revaluation surplus	114,777	(29,707)	-	-	-	-	-	85,070
At 31 March 2012	441,675	199,292	32,629	26,711	26,075	16,901	1,528	744,811
Comprising:								
At valuation 2012	319,829	117,744	-	-	-	-	-	437,573
At cost	13,276	32,065	43,918	27,613	11,659	16,170	2,115	146,816
	333,105	149,809	43,918	27,613	11,659	16,170	2,115	584,389
At 1 April 2012	441,675	199,292	32,629	26,711	26,075	16,901	1,528	744,811
Additions	798	5,510	5,045	19,667	477	3,720	3,349	38,566
Transfer from investment property	350,000	-	-	-	-	-	-	350,000
Disposals	-	(1,805)	(1,656)	(5,895)	(927)	(564)	-	(10,847)
Transfer from work in progress	1,461	1,279	-	-	-	193	(2,933)	-
At 31 March 2013	793,934	204,276	36,018	40,483	25,625	20,250	1,944	1,122,530
Comprising:								
At valuation 2012	319,829	117,744	-	-	-	-	-	437,573
At cost	474,105	86,532	36,018	40,483	25,625	20,250	1,944	684,957
	793,934	204,276	36,018	40,483	25,625	20,250	1,944	1,122,530

WILLIAMSON TEA KENYA LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

13 PROPERTY, PLANT AND EQUIPMENT (Continued)

COMPANY

	Land and buildings	Machinery and equipment	Tractors and accessories	Motor vehicles	Office equipment furniture and fittings	Computers	Work in progress	Total
	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000
DEPRECIATION								
At 1 April 2011	87,439	50,794	30,116	16,388	5,181	11,051	-	200,969
Charge for the year	18,982	17,479	2,560	5,441	1,263	1,869	-	47,594
Eliminated on disposal	-	(1,088)	(7,599)	(5,361)	(433)	(1,898)	-	(16,379)
Reclassification	(6,154)	9,235	(3,081)	-	-	-	-	-
Eliminated on revaluation	(99,387)	(59,784)	-	-	-	-	-	(159,171)
At 31 March 2012	880	16,636	21,996	16,468	6,011	11,022	-	73,013
At 1 April 2011	880	16,636	21,996	16,468	6,011	11,022	-	73,013
Charge for the year	66,387	34,808	2,089	7,729	2,200	2,720	-	115,933
Eliminated on disposal	-	-	(1,656)	(5,031)	(757)	(564)	-	(8,008)
At 31 March 2013	67,267	51,444	22,429	19,166	7,454	13,178	-	180,938
NET BOOK VALUE								
At 31 March 2013	376,667	152,832	13,589	21,317	18,171	7,072	1,944	591,592
At 31 March 2012	440,795	182,656	10,633	10,243	20,064	5,879	1,528	671,798
NET BOOK VALUE (Cost basis)								
At 31 March 2013	349,203	86,532	25,385	30,240	5,561	14,371	416	511,708
At 31 March 2012	136,253	100,420	10,633	10,243	20,064	5,879	1,528	285,020

Land, building and machinery were last revalued as at 31 March 2012 by Lloyd Masika Limited, Registered Valuers and Estate Agents on the basis of open market value for the existing use.

Included in property, plant and equipment are assets with an original cost of Sh 69,162,843 (2012 - Sh 54,052,677) which are fully depreciated and whose normal depreciation charge for the year would have been Sh 10,242,443 (2012 - Sh 3,685,440).

Land, buildings and development with net book value of Sh 376,667,000 (2012 - Sh 440,795,000) have been charged to secure banking facilities granted to the company as disclosed in note 29.

WILLIAMSON TEA KENYA LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

		GROUP		COMPANY	
		2013 Sh'000	2012 Sh'000	2013 Sh'000	2012 Sh'000
14	INTANGIBLE ASSETS (COMPUTER SOFTWARE)				
	COST				
	At 1 April	11,744	9,963	5,443	4,425
	Additions	3,030	1,781	1,550	1,018
		<u>14,774</u>	<u>11,744</u>	<u>6,993</u>	<u>5,443</u>
	AMORTISATION				
	At 1 April	9,699	9,114	4,295	4,035
	Amortisation for the year	1,329	585	684	260
		<u>11,028</u>	<u>9,699</u>	<u>4,979</u>	<u>4,295</u>
	NET BOOK VALUE				
	At 31 March	<u>3,746</u>	<u>2,045</u>	<u>2,014</u>	<u>1,148</u>
15	PREPAID OPERATING LEASES				
	COST				
	At 1 April	81,581	81,581	12,612	12,612
	AMORTISATION				
	At 1 April	4,703	4,619	840	827
	Amortisation for the year	84	84	13	13
		<u>4,787</u>	<u>4,703</u>	<u>853</u>	<u>840</u>
	NET BOOK VALUE				
	At 31 March	<u>76,794</u>	<u>76,878</u>	<u>11,759</u>	<u>11,772</u>

Prepaid operating leases relate to leasehold land located in Williamson Tea Kenya Limited Changoi Estate, Tinderet Tea Estates (1989) Limited and Kaimosi Tea Estates Limited.

Leasehold land has been charged to secure banking facilities granted to the Group as disclosed in note 29.

Leasehold land was last revalued as at 31 March 2012 by Lloyd Masika Ltd, Registered Valuers and Estate Agents, at Sh 815 million at that time, based on open market value.

		GROUP & COMPANY	
		2013 Sh'000	2012 Sh'000
16	INVESTMENT PROPERTY		
	At fair value:		
	1 April	345,500	345,500
	Fair value gain	369,500	-
	Transfer to land and building	(350,000)	-
		<u>365,000</u>	<u>345,500</u>
	At 31 March	<u>365,000</u>	<u>345,500</u>
	Cost basis	<u>11,591</u>	<u>17,932</u>

WILLIAMSON TEA KENYA LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

16 INVESTMENT PROPERTY (Continued)

Investment property was revalued as at 31 March 2013 by Lloyd Masika Limited, Registered Valuers and Estate Agents on an open market value basis.

Locations and details of the investment property are LR No 1160/196, LR No 1160/197 and LR No 330/490 all located in the Nairobi area.

	2013 Sh'000	2012 Sh'000
17 INVESTMENT IN ASSOCIATE COMPANY		
GROUP		
Kapchorua Tea Company Limited (Quoted) - 39.56% owned:		
At share of net assets	<u>507,956</u>	<u>448,466</u>
The movement in Group investment in associate company is as follows:		
At 1 April	448,466	386,263
Share of profit before taxation	101,176	44,535
Share of tax (note 9(a))	(30,079)	(13,691)
Dividend received	(11,607)	(11,607)
Share of other comprehensive income*	-	42,966
	<u>507,956</u>	<u>448,466</u>
At 31 March	<u>507,956</u>	<u>448,466</u>
COMPANY		
Kapchorua Tea Company Limited (Quoted); 39.56% owned:		
At cost	<u>49,479</u>	<u>49,479</u>
The movement in company investment in associate company is as follows:		
At 31 March	<u>49,479</u>	<u>49,479</u>

*Share of other comprehensive income relates to Williamson Tea Kenya Limited's share of revaluation surplus that arose on revaluation of the buildings and machinery of Kapchorua Tea Company Limited in the year 2012.

WILLIAMSON TEA KENYA LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

17 INVESTMENT IN ASSOCIATE COMPANY (Continued)

The details of the above associate company are as follows:

<i>Company</i>	<i>Share capital Sh</i>	<i>% owned</i>	<i>Country of Incorporation</i>	<i>Principal activity</i>
Kapchorua Tea Company Ltd	19,560,000	39.56%	Kenya	Cultivation, manufacture and sale of tea

The audited summarised financial information as of 31 March 2013 in respect of the associate company, Kapchorua Tea Company Limited is set out below:

	2013 Sh'000	2012 Sh'000
Total assets	2,078,475	1,962,897
Total liabilities	(794,462)	(829,262)
Net assets	<u>1,284,013</u>	<u>1,133,635</u>
Group's share of the net assets	<u>507,956</u>	<u>448,466</u>
Revenue	<u>1,446,763</u>	<u>1,433,134</u>
Profit before taxation	255,753	112,576
Taxation charge	(76,035)	(34,608)
Profit for the year	<u>179,718</u>	<u>77,968</u>
Other comprehensive income*	-	108,610
Total comprehensive income for the year	<u>179,718</u>	<u>186,578</u>

* Other comprehensive income comprises the revaluation surplus that arose on revaluation of the buildings and machinery of Kapchorua Tea Company Limited in the year 2012.

WILLIAMSON TEA KENYA LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

		2013 Sh'000	2012 Sh'000
18	INVESTMENT IN SUBSIDIARY COMPANIES		
(a)	Unquoted investments at cost in Wholly owned subsidiaries:		
	Kaimosi Tea Estates Limited	2,863	2,863
	Williamson Power Limited	3,689	3,689
	Tea Properties Limited	2	2
	Lelsa Tea Estates Limited*	-	-
		<u>6,554</u>	<u>6,554</u>
(b)	Unquoted investment at cost in Partly owned subsidiaries:		
	Tinderet Tea Estates (1989) Limited (82% owned)	103,323	103,323
		<u>109,877</u>	<u>109,877</u>

*Investment in Lelsa Tea Estates Limited is fully impaired.

The details of the above subsidiary companies are as follows:

Company	Share capital Sh	Country of Incorporation	Principal activity
Kaimosi Tea Estates Limited	2,540,000	Kenya	Cultivation, manufacture and sale of tea
Williamson Power Limited	2,880,000	Kenya	Sale, installation and servicing of generators
Tea Properties Limited	2,000	Kenya	Property investment
Lelsa Tea Estates Limited	4,000,000	Kenya	Dormant company
Tinderet Tea Estates (1989) Limited	100,000	Kenya	Cultivation, manufacture and sale of tea

	2013 Sh'000	2012 Sh'000
19	OTHER INVESTMENTS	
	Unquoted investments at cost	
	Group	
	999,326* (2012 - 999,326) shares of Sh 10 each in Kenya Tea Packers Limited	<u>1,349</u> <u>1,349</u>

*The company has 864,394 bonus shares which were awarded at no cost.

Company

403,545* (2012 - 403,545) shares of Sh 10 each in Kenya Tea Packers Limited	<u>546</u>	<u>546</u>
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*The company has 348,936 bonus shares which were awarded at no cost.

WILLIAMSON TEA KENYA LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

20 BIOLOGICAL ASSETS

GROUP

	Tea bushes Sh'000	Timber trees Sh'000	Fuel trees Sh'000	Total 2013 Sh'000	Total 2012 Sh'000
Carrying amount at 1 April 2012	1,869,686	190,317	380,866	2,440,869	1,971,494
Expenditure on biological assets	9,614	358	12,889	22,861	28,431
Decrease due to harvest	-	(857)	(1,445)	(2,302)	-
Net expenditure on biological assets	9,614	(499)	11,444	20,559	28,431
	1,879,300	189,818	392,310	2,461,428	1,999,925
Gains/(losses) arising from changes in fair value attributable to physical changes	(28,497)	27,520	38,924	37,947	95,622
Gains arising from changes in fair value attributable to price changes	212,901	-	-	212,901	361,963
Disposals	-	(25,824)	(22,467)	(48,291)	(16,641)
Net fair value gains	184,404	1,696	16,457	202,557	440,944
Carrying amount at 31 March 2013	2,063,704	191,514	408,767	2,663,985	2,440,869
COMPANY					
Carrying amount at 1 April 2012	844,781	83,247	149,365	1,077,393	930,231
Increase in actual cost of biological assets	7,613	-	3,560	11,173	6,058
Decrease due to harvest	-	(163)	(833)	(996)	-
Net expenditure on biological assets	7,613	(163)	2,727	10,177	6,058
	852,394	83,084	152,092	1,087,570	936,289
Gains/(losses) arising from changes in fair value attributable to physical changes	(23,831)	5,009	13,212	(5,610)	37,183
Gains arising from changes in fair value attributable to price changes	37,362	-	-	37,362	115,499
Disposals	-	(8,391)	(15,660)	(24,051)	(11,578)
Net fair value gains	13,531	(3,382)	(2,448)	7,701	141,104
Carrying amount at 31 March 2013	865,925	79,702	149,644	1,095,271	1,077,393

Significant assumptions made in determining the fair values of biological assets are:

- Tea bushes are considered to be productive for an estimated period of 30 years from the year of first harvest. After an average of 30 years of production, the yields become sub-optimal and are uprooted and replaced.
- The expected market price of tea will remain constant, based on the dollar average price for the last five years and the ruling rate of exchange at year end. Firewood and timber prices are also expected to remain constant.
- Based on the biological transformation which the tea bushes and tea leaf undergo, 60% of future cash flows less point of sale costs and tea processing income are discounted to determine the fair value of mature tea bushes. The remaining 40% of net market value is assigned to regeneration of tea leaf.
- Discount rate applied to discount the expected net cash flows arising from the asset was 14.8% per annum (2011 – 14.8%).
- Point-of-sale and tea-processing costs are the same as in 2012 except where there are material projected changes in operational procedures.
- The maturity period of firewood and timber trees is between 5 and 25 years depending on the species of the tree.

WILLIAMSON TEA KENYA LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

		GROUP		COMPANY	
		2013 Sh'000	2012 Sh'000	2013 Sh'000	2012 Sh'000
21	INVENTORIES				
	Tea stocks	482,552	148,682	179,826	47,834
	Firewood	16,418	14,769	4,238	3,732
	Stores	115,723	193,774	76,134	61,177
	Generators	1,045	578	-	-
	Work in progress	-	98	-	-
		<u>615,738</u>	<u>357,901</u>	<u>260,198</u>	<u>112,743</u>
22	TRADE AND OTHER RECEIVABLES				
	Trade	679,200	977,490	250,637	369,697
	Staff	43,888	45,194	25,472	29,038
	VAT receivable	116,395	108,055	50,366	27,311
	Other	33,988	84,819	16,241	42,937
		<u>873,471</u>	<u>1,215,558</u>	<u>342,716</u>	<u>468,983</u>
23	BALANCES WITH RELATED COMPANIES				
	(a) DUE FROM ASSOCIATE COMPANIES				
	Kapchorua Tea Company Limited	<u>90,343</u>	<u>85,005</u>	<u>84,836</u>	<u>81,010</u>
				2013 Sh'000	2012 Sh'000
	(b) DUE FROM SUBSIDIARY COMPANIES				
	COMPANY				
	Kaimosi Tea Estates Limited			106,276	81,839
	Williamson Power Limited			5,610	11,340
	Tinderet Tea Estates (1989) Limited			125,977	116,947
				<u>237,863</u>	<u>210,126</u>
	(c) DUE TO SUBSIDIARY COMPANIES				
	COMPANY				
	Tea Properties Limited			23,286	23,762
	Williamson Power Limited			1,163	7,466
				<u>24,449</u>	<u>31,228</u>
	(d) DUE TO ASSOCIATE COMPANY – GROUP				
	Kapchorua Tea Company Limited			<u>4,750</u>	<u>4,256</u>

WILLIAMSON TEA KENYA LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	GROUP		COMPANY	
	2013 Sh'000	2012 Sh'000	2013 Sh'000	2012 Sh'000
24	SHORT TERM DEPOSITS – Held to maturity			
	At amortised cost			
	Maturing within 90 days			
	NIC Bank Limited	438,482	293,645	233,426
	Bank of Africa Limited	359,757	336,694	341,637
		<u>798,239</u>	<u>630,339</u>	<u>575,063</u>
	At 31 March			<u>427,118</u>
	The effective interest rates on fixed deposits at 31 March 2013 were as shown below:			
			2013 Sh'000	2012 Sh'000
	NIC Bank Limited		8.5%	20%
	Bank of Africa Limited		11%	21%
			<u>2013 Sh'000</u>	<u>2012 Sh'000</u>
25	SHARE CAPITAL			
	Authorised:			
	17,512,640 shares of Sh 5 each		87,563	87,563
	Issued and fully paid:			
	8,756,320 shares of Sh 5 each		43,782	43,782
26	NON – CONTROLLING INTERESTS			
	At 1 April		165,556	134,248
	Share of profit - arising from operating activities		19,434	8,356
	- arising from changes in biological assets		9,937	25,562
			<u>29,371</u>	<u>33,918</u>
	Dividend paid by Tinderet Tea Estates (1989) Limited		(2,786)	(2,610)
	At 31 March		<u>192,141</u>	<u>165,556</u>
	Represented by:			
	Holding in Tinderet Tea Estates (1989) Limited		18.00%	18.00%

WILLIAMSON TEA KENYA LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

27 DEFERRED INCOME TAXATION

Deferred income taxes are calculated on all temporary differences under the liability method using the enacted tax rate of 30%.

	GROUP		COMPANY	
	2013	2012	2013	2012
	Sh'000	Sh'000	Sh'000	Sh'000
The net deferred taxation liability is attributable to the following items:				
Deferred tax liabilities:				
Accelerated capital allowances	429,791	261,310	265,469	102,368
Revaluation of investment property	56,850	98,270	56,850	98,270
Revaluation surplus – property and equipment	198,007	251,484	80,813	116,033
Fair value adjustments - biological assets	631,446	570,677	255,744	253,433
Unrealised exchange gains	715	1,001	-	631
	<u>1,316,809</u>	<u>1,182,742</u>	<u>658,876</u>	<u>570,735</u>
Deferred taxation assets:				
Unrealised exchange losses	(265)	(9,395)	(78)	(5,523)
Service gratuity provision	(54,429)	(47,959)	(19,508)	(16,497)
Leave pay provision	(6,039)	(6,790)	(2,671)	(3,066)
Inventories general provision	(1,699)	(1,305)	(1,306)	(1,120)
Doubtful debts provision	(5,668)	(2,149)	-	-
Tax losses available for future relief	(3,179)	-	-	-
	<u>(71,279)</u>	<u>(67,598)</u>	<u>(23,563)</u>	<u>(26,206)</u>
Net deferred taxation liability	<u>1,245,530</u>	<u>1,115,144</u>	<u>635,313</u>	<u>544,529</u>

The movement on the deferred taxation account is as follows:

	GROUP		COMPANY	
	2013	2012	2013	2012
	Sh'000	Sh'000	Sh'000	Sh'000
At 1 April	1,115,144	899,865	544,529	476,355
Taxation charge/(credit) (note 9a)				
-current year charge/(credit)	79,030	74,563	38,025	(5,645)
-Prior year (over)/under provision	(2,644)	1,001	(1,241)	547
Deferred taxation on revaluation surplus dealt with through equity	54,000	139,715	54,000	73,272
At 31 March	<u>1,245,530</u>	<u>1,115,144</u>	<u>635,313</u>	<u>544,529</u>

As at 31 March 2013, the Group had accumulated tax losses of Sh 10,597,000 relating to Williamson Power Limited (2012: Sh Nil).

Under the Kenyan tax laws, with effect from 1 January 2011, tax losses can only be carried forward to a maximum of four years.

WILLIAMSON TEA KENYA LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

		GROUP		COMPANY	
		2013 Sh'000	2012 Sh'000	2013 Sh'000	2012 Sh'000
28	SERVICE GRATUITY				
	At start of the year	159,859	145,125	54,990	50,574
	Provision during the year	33,851	30,429	13,977	11,602
	Payments in the year	(12,282)	(15,695)	(3,940)	(7,186)
	At 31 March	181,428	159,859	65,027	54,990

29 BORROWINGS

a) Loans

2012

Bank overdraft

-	59,715	-	-
---	--------	---	---

The borrowings are repayable as follows:

On demand and within one year

-	59,715	-	-
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Analysis of borrowings by currency

GROUP

	Borrowings in KES Sh'000	Borrowings in GBP Sh'000	Total Sh'000
2013			
Bank overdrafts	-	-	-
2012			
Bank overdrafts	59,715	-	59,715

b) Interest rates

	2013	2012
The average interest rates paid by the Group were as follows:		
Bank overdraft - KSh	21.50%	21.50%
Bank overdraft - US\$	7.0%	7.0%

c) Details of securities for loans and bank overdrafts

The loan facilities with Barclays Bank of Kenya Limited are secured by:

GROUP

1. Joint and several debenture between Kaimosi Tea Estates Limited and Williamson Tea Kenya Limited to Barclays Bank of Kenya Limited stamped and registered to cover Sh 104 million.
2. Legal mortgage over LR Nos. 1892, 1893, 1894, 1895, 1896 and 1899 (Kaimosi Tea Estates) registered and stamped to cover Sh 104 million supplemental to the debenture.
3. A fixed and floating debenture over all the assets of Tinderet Tea Estates (1989) Limited for Sh 94 million and a legal charge over the company's property in Tinderet (LR 11490) for Sh 94 million.
4. The bank overdraft facility with Standard Chartered Bank Kenya Limited is secured by an all assets debenture supported by a collateral legal charge over LR 11297 Kericho of Sh 84 million.

WILLIAMSON TEA KENYA LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

29 BORROWINGS (Continued)

c) Details of securities for loans and bank overdrafts (continued)

COMPANY

1. Joint and several debentures between Kaimosi Tea Estates Limited and Williamson Tea Kenya Limited to Barclays Bank of Kenya Limited stamped and registered to cover Sh 104 million.
2. All assets debenture supported by a collateral charge over LR 11297 (Changoi Estate) Kericho to Standard Chartered Bank of Kenya Limited registered to cover Sh 84 million.

d) Undrawn facilities

The Group had undrawn committed borrowing facilities with various bankers amounting to Sh 171,108,000 (2012 – Sh 189,863,000). The borrowing facilities consist of loans, bank overdrafts, letters of credit and guarantees.

30 FINANCE LEASE OBLIGATIONS

GROUP

	Minimum lease payments (including finance charges)		Present value of minimum lease payments (excluding finance charges)	
	2013	2012	2013	2012
	Shs'000	Shs'000	Shs'000	Shs'000
Within one year	6,449	27,085	6,033	25,402
In second to fifth year	-	6,607	-	5,965
	<u>6,449</u>	<u>33,692</u>	<u>6,033</u>	<u>31,367</u>
Less: future finance charges	(416)	(2,325)	-	-
Present value of lease obligations	<u>6,033</u>	<u>31,367</u>	<u>6,033</u>	<u>31,367</u>
Amounts due for settlement within one year			(6,033)	(25,402)
Amounts due for settlement after one year			-	5,965

GROUP

COMPANY

	2013	2012	2013	2012
	Shs'000	Shs'000	Shs'000	Shs'000
Trade payables	49,372	75,643	17,572	29,921
Green leaf provision	385,060	547,905	78,394	143,489
Leave provision	24,166	22,633	11,385	10,221
Accruals and other payables	223,487	276,186	90,967	131,696
	<u>682,085</u>	<u>922,367</u>	<u>198,318</u>	<u>315,327</u>

31 TRADE AND OTHER PAYABLES

WILLIAMSON TEA KENYA LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

32 UNCLAIMED DIVIDENDS

	2013 Sh'000	2012 Sh'000
GROUP & COMPANY		
At beginning of the year	4,299	4,268
Declared in the year		
- Interim	-	437,816
- Final	65,672	109,454
Dividends claimed	65,672 (65,747)	547,270 (547,239)
At end of year	4,224	4,299

33 NOTES TO THE CASH FLOW STATEMENT

GROUP

(a) Reconciliation of profit before taxation to cash generated from operations		
Profit before taxation	1,155,760	1,163,499
Adjustments for:		
Depreciation	253,552	125,192
Amortisation of prepaid operating leases	84	84
Amortisation of intangible assets	1,329	585
Profit on disposal of plant and equipment	(436)	(7,635)
Share of results of associates	(101,176)	(44,535)
Fair value adjustment on biological assets	(202,557)	(440,944)
Gain on disposal of investment property and associate company	-	(157,850)
Fair value gain on investment property	(189,500)	-
Exchange differences on loans (note 33(b))	-	4,413
Exchange differences on asset finance loans (note 33(c))	2,323	(1,011)
Interest paid	2,690	4,072
Interest received	(77,461)	(103,119)
	844,608	542,751
Working capital changes:		
Increase in inventories	(257,837)	(38,943)
Decrease/(increase) in trade and other receivables	342,087	(384,692)
(Decrease)/increase in trade and other payables	(240,282)	310,330
Movement in associate company balances	(4,844)	(47,456)
Increase in service gratuity	21,569	14,734
Cash generated from operations	705,301	396,724

WILLIAMSON TEA KENYA LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

33 NOTES TO THE CASH FLOW STATEMENT (Continued)

	2013 Sh'000	2012 Sh'000
(b) Analysis of changes in loans		
At 1 April	-	14,618
Loans repaid	-	(19,031)
Exchange loss	-	4,413
At 31 March	-	-
(c) Analysis of changes in asset finance loan		
At 1 April	31,367	68,430
Asset finance loans repaid	(27,657)	(36,052)
Exchange gains/(losses)	2,323	(1,011)
At 31 March	6,033	31,367
(d) Analysis of cash and cash equivalents		
Cash and bank balances	300,104	124,178
Short term deposits (note 24)	798,239	630,339
Bank overdrafts	-	(59,715)
At 31 March	1,098,343	694,802

For the purpose of the cash flow statement, cash equivalents include short term liquid investments which are readily convertible to known amounts of cash and which were within three months to maturity when acquired, less advances from banks repayable within three months from the date of the advance.

34 RELATED PARTIES

The Group transacts with the ultimate holding company, Williamson Tea Holdings Limited and other companies which are also subsidiaries of Williamson Tea Holdings Limited.

During the year, the following transactions were entered into with related parties:

	2013 Sh'000	2012 Sh'000
Sales through a related party (Williamson Tea Holdings Limited – parent)	3,393,604	3,466,379
Agency commission and charges received (Kapchorua Tea Company Limited – associate)	53,223	61,485
Agency fees-Cohen & Griffiths Ltd	102,534	103,991
Green leaf purchases from Kapchorua Tea Company Limited	51,480	54,144

WILLIAMSON TEA KENYA LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

34 RELATED PARTIES (Continued)

	2013 Sh'000	2012 Sh'000
Compensation of key management personnel		
The remuneration of directors and other members of key management during the period was as follows:		
Directors' emoluments		
Salaries and benefits	17,663	16,995
Fees and allowances for services as directors	1,200	1,088
	<u>18,863</u>	<u>18,083</u>
Key management remuneration		
Salaries and other benefits	<u>77,343</u>	<u>71,221</u>

	GROUP		COMPANY	
	2013 Shs'000	2012 Shs'000	2013 Shs'000	2012 Shs'000
35 CAPITAL COMMITMENTS				
Authorised but not contracted for	166,885	126,404	59,083	50,741
Authorised and contracted for	-	14,589	-	13,948
	<u>166,885</u>	<u>140,993</u>	<u>59,083</u>	<u>64,689</u>

The Group intends to finance these commitments from internally generated funds, asset financing from the banks and loans from overseas Shareholders.

36 OPERATING LEASE COMMITMENTS

The Group as a lessee

Property rental expense incurred during the year amounted to Sh 2,422,446 (2012 – Sh 2,242,100). At the end of the reporting period the Group had outstanding commitments under operating leases which fall due as follows:

	2013 Sh'000	2012 Sh'000
Within one year	2,710	3,895
In the second to fifth years inclusive	10,268	18,227
	<u>12,978</u>	<u>22,122</u>

WILLIAMSON TEA KENYA LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

36 OPERATING LEASE COMMITMENTS (Continued)

The Group as a lessor

Property rental income earned during the year amounted to Sh 2,956,500 (2012 – Sh 14,603,708). At the end of the reporting period, the Group had contracted with tenants for the following future lease receivables.

	2013 Sh'000	2012 Sh'000
Within one year	3,408	3,120
In the second to fifth years inclusive	4,333	10,112
	<u>7,741</u>	<u>13,232</u>

Leases are negotiated for an average term of six years for both residential properties and non-residential properties, and rentals are reviewed annually. The leases are cancellable with no penalty when the tenants give three months notice to vacate the premises.

37 CONTINGENT LIABILITIES

The Group had no contingent liabilities as at 31 March 2013 (2012: Sh Nil).

38 CAPITAL MANAGEMENT

The Group manages its capital to ensure that it will be able to continue as a going concern while maximising the return to stakeholders through the optimisation of the debt and equity balance.

The capital structure of the Group consists of debt, which includes the borrowings disclosed in notes 29 and 30, cash and cash equivalents and equity attributable to equity holders, comprising issued capital and retained earnings.

Consistent with others in the industry, the Group monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided by total capital.

	GROUP	
	2013 Sh	2012 Sh
Share capital	43,782	43,782
Revenue reserves	4,986,487	4,148,921
Equity	<u>5,030,269</u>	<u>4,192,703</u>
Total borrowings	6,033	91,082
Less: cash	(300,104)	(124,178)
Net debt	<u>(294,071)</u>	<u>(33,096)</u>
Gearing	<u>Nil</u>	<u>Nil</u>

NOTES TO THE FINANCIAL STATEMENTS (Continued)

39 FINANCIAL RISK MANAGEMENT

The Group's activities expose it to a variety of financial risks, including credit risk and the effects of changes in debt and equity market prices, foreign currency exchange rates and interest rates. The Group's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on its financial performance. Risk management is carried out by the finance department under policies approved by the Board of Directors. Finance department identifies, evaluates and hedges financial risks. The Board provides written principles for overall risk management, as well as written policies covering specific areas such as foreign exchange risk, interest rate risk, credit risk, use of non-derivative financial instruments and investing excess liquidity.

Financial risks arising from use of financial instruments

The Group has exposure to the following risks due to its use of financial instruments;

- credit risk
- liquidity risk
- market risk

Credit risk

Credit risk is managed on a Group-wide basis. Credit risk arises from cash and cash equivalents, deposits with banks, as well as trade receivables. The credit risk on liquid funds and bank balances is limited because the counter parties are banks with high credit ratings assigned by international credit rating agencies. The Group management assesses the credit quality of each customer, taking into account its financial position, past experience and other factors. Individual risk limits are set based on internal or external ratings in accordance with limits set by the Board. The utilisation of credit limits is regularly monitored.

The Group has policies in place to ensure that sales are made to customers with an appropriate credit history.

The amount that best represents the Group's maximum exposure to credit risk as at 31 March 2013 is made up as follows:

	Fully performing Sh'000	Past due Sh'000	Impaired Sh'000	Total Sh'000
Trade receivables	677,650	1,550	12,792	691,992
Provision for impairment	-	-	(12,792)	(12,792)
	677,650	1,550	-	679,200
Short term deposits	798,239	-	-	798,239
Bank balances	292,361	-	-	292,361

The amount that best represents the Group's maximum exposure to credit risk as at 31 March 2012 is made up as follows:

	Fully performing Sh'000	Past due Sh'000	Impaired Sh'000	Total Sh'000
Trade receivables	975,055	2,435	7,158	984,648
Provision for impairment	-	-	(7,158)	(7,158)
	975,055	2,435	-	977,490
Short term deposits	630,339	-	-	630,339
Bank balances	116,346	-	-	116,346

The customers under the fully performing category are paying their debts as they continue trading. The receivables that are past due relate to trade receivables overdue by over 60 days. The receivables are not impaired and continue to be paid. The finance department is actively following these receivables. No collateral is held with respect to the debt.

The debt that is overdue is not impaired and continues to be paid. The finance department is actively following this debt.

The debt that is impaired has been fully provided for. However, the finance department are following up on the impaired debt.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

39 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

Liquidity risk

Ultimate responsibility for liquidity risk management rests with the board of directors, which has built an appropriate liquidity risk management framework for the management of the Group's short, medium and long term funding and liquidity management requirements. The Group manages liquidity risk by maintaining adequate reserves, banking facilities and reserve borrowing facilities, by continuously monitoring forecast and actual cash flows and matching the maturity profiles of financial assets and liabilities.

The following table analyses the Group's financial liabilities that will be settled into relevant maturity groupings based on the remaining period at the end of the reporting period to the contractual maturity date. The amounts disclosed in the table below are the contractual undiscounted cash flows. Balances due within 12 months equal their carrying balances, as the impact of discounting is not significant.

	Up to 1 month Sh'000	1-3 months Sh'000	3-12 months Sh'000	1-5 years Sh'000	Over 5 years Sh'000	Total Sh'000
Financial liabilities						
At 31 March 2013						
Trade payables	47,996	1,376	-	-	-	49,372
Finance lease obligations	675	2,025	3,749	-	-	6,449
	<u>48,671</u>	<u>3,401</u>	<u>3,749</u>	<u>-</u>	<u>-</u>	<u>55,821</u>
At 31 March 2012						
Trade payables	71,565	4,078	-	-	-	75,643
Finance lease obligations	23,443	1,112	2,530	6,607	-	33,692
Borrowings	59,715	-	-	-	-	59,715
	<u>154,723</u>	<u>5,190</u>	<u>2,530</u>	<u>6,607</u>	<u>-</u>	<u>169,050</u>

Market risk

(i) Foreign exchange risk

The Group undertakes certain transactions denominated in foreign currencies. Exchange rate exposures are managed within approved policy parameters.

The carrying amounts of the Group's foreign currency denominated monetary assets and liabilities at the end of the reporting period are as follows:

	USD Sh'000	GBP Sh'000	EURO Sh'000
2013			
Financial assets			
Bank and cash balances	85,215	154,260	427
Trade receivables	524,612	124,316	15,439
Financial liabilities			
Finance lease obligations	6,033	-	-
Trade payables	4,302	-	-
Net exposure	<u>599,492</u>	<u>278,576</u>	<u>15,866</u>

NOTES TO THE FINANCIAL STATEMENTS (Continued)

39 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

Market risk (Continued)

(i) Foreign exchange risk (Continued)

	USD Sh'000	GBP Sh'000	EURO Sh'000
2012			
Financial assets			
Bank and cash balances	1,121	48,426	10,804
Trade receivables	665,850	286,356	6,591
Financial liabilities			
Borrowings	63,314	-	-
Finance lease obligations	3,844	-	-
Trade payables	5,054	-	-
Net exposure	594,759	334,782	17,395

Foreign exchange risk – appreciation/depreciation of Ksh against other currencies by 1%

The following sensitivity analysis shows how profit and equity would change if the market risk variables had been different at the end of the reporting period with all other variables held constant.

	2013 Sh'000		2012 Sh'000	
	Effect on profit	Effect on equity	Effect on profit	Effect on equity
Currency - GB pounds				
+ 1 percentage point movement	2,786	1,950	3,348	2,343
- 1 percentage point movement	(2,786)	(1,950)	(3,348)	(2,343)
Currency - US dollars				
+ 1 percentage point movement	5,995	4,196	5,948	4,163
- 1 percentage point movement	(5,995)	(4,196)	(5,948)	(4,163)
Currency - Euro				
+ 1 percentage point movement	159	111	174	122
- 1 percentage point movement	(159)	(111)	(174)	(122)

(iii) Interest rate risk

Interest rate risks arise from fluctuations in the bank borrowing rates. The interest rates vary from time to time depending on the prevailing economic circumstances. The Group closely monitors the interest rate trends to minimize the potential adverse impact of interest rate changes.

Interest rate risks – increase / decrease of 1% in net interest margin

The following sensitivity analysis shows how profit and equity would change if the market risk variables had been different at the end of the reporting period with all other variables held constant.

	2013 Sh'000		2012 Sh'000	
	Effect on profit	Effect on equity	Effect on profit	Effect on equity
+ 1 percentage point movement	745	522	7,602	5,321
- 1 percentage point movement	(745)	(522)	(7,602)	(5,321)